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Legal structures

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Market-based economies comprise a rich diversity of business organisations, ranging from the very simple enterprise owned and operated by one person, to the huge multinational corporation with production and distribution facilities spread across the globe. Whatever the nature of these organisations or their scale of operation, their existence is invariably subject to legal definition and this will have consequences for the functioning of the organisation. Viewing the business as a legal structure provides an insight into some of the important influences on business operations in both the private and public sectors.

Learning outcomes

Having read this chapter you should be able to:

- discuss the legal structure of UK business organisations in both the private and public sectors
- compare UK business organisations with those in other parts of Europe
- illustrate the implications of a firm's legal structure for its operations
- explain franchising, licensing and joint ventures

Key terms

Articles of Association
'Black economy'
Company
Company directors
Consortium
Consumer societies
Executive directors
Franchising
Gearing
Golden share

Joint venture
Licensing
Managing director
Memorandum of Association
Nationalised industry
Non-executive directors
Partnership
Private limited company
Public corporation

Public limited company (PLC)
Public sector organisations
Shareholders
Sole trader
Stakeholders
Unlimited personal liability
Workers' co-operatives

Introduction

Business organisations can be classified in a variety of ways, including:

- size (e.g. small, medium, large);
- type of industry (e.g. primary, secondary, tertiary);
- sector (e.g. private sector, public sector); and
- legal status (e.g. sole trader, partnership, and so on).

These classifications help to distinguish one type of organisation from another and to focus attention on the implications of such differences for an individual enterprise. In the discussion below, business organisations are examined as legal structures and the consequences of variations in legal status are discussed in some detail. Subsequent chapters in this section investigate alternative structural perspectives in order to highlight how these too have an important bearing on the environment in which businesses operate.

Private sector organisations in the UK

The sole trader

Many individuals aspire to owning and running their own business – being their own boss, making their own decisions. For those who decide to turn their dream into a reality, becoming a sole trader (or sole proprietor) offers the simplest and easiest method of trading.

As the name suggests, a **sole trader** is a business owned by one individual who is self-employed and who may, in some cases, employ other people on either a full-time or a part-time basis. Normally using personal funds to start the business, the sole trader decides on the type of goods or services to be produced, where the business is to be located, what capital is required, what staff (if any) to employ, what the target market should be and a host of other aspects concerned with the establishment and running of the enterprise. Where the business proves a success, all profits accrue to the owner and it is common for sole traders to reinvest a considerable proportion of these in the business and/or use them to reduce past borrowings. Should losses occur, these too are the responsibility of the sole trader, who has **unlimited personal liability** for the debts of the business.

Despite this substantial disadvantage, sole proprietorship tends to be the most popular form of business organisation numerically. In the United Kingdom, for example, it is estimated that about 80 per cent of all businesses are sole traders and in some sectors – notably personal services, retailing, building – they tend to be the dominant form of business enterprise. Part of the reason for this numerical dominance is the relative ease with which an individual can establish a business of this type. Apart from minor restrictions concerning the use of a business name – if the name of the proprietor is not used – few other legal formalities are required to set up the enterprise, other than the need to register for Value Added Tax if turnover exceeds a certain sum (e.g. £58 000 in 2004/5) and/or to fulfil any special require-

ments laid down by the local authority prior to trading (e.g. some businesses require licences). Once established, of course, the sole trader, like other forms of business, will be subject to a variety of legal requirements (e.g. contract law, consumer law, employment law) – though not the requirement to file information about the business in a public place. For some, this ability to keep the affairs of the enterprise away from public scrutiny provides a further incentive to establishing this form of business organisation – some of which may operate wholly or partly in the ‘**black economy**’ (i.e. beyond the gaze of the tax authorities).

A further impetus towards sole ownership comes from the ability of the individual to exercise a considerable degree of control over their own destiny. Business decisions – including the day-to-day operations of the enterprise as well as long-term plans – are in the hands of the owner and many individuals evidently relish the risks and potential rewards associated with entrepreneurial activity, preferring these to the relative ‘safety’ of employment in another organisation. For others less fortunate, the ‘push’ of unemployment rather than the ‘pull’ of the marketplace tends to be more of a deciding factor and one which clearly accounts for some of the growth in the number of small businesses in the United Kingdom in the later part of the twentieth century.

Ambitions and commitment alone, however, are not necessarily sufficient to guarantee the survival and success of the enterprise and the high mortality rate among businesses of this kind, particularly during a recession, is well known and well documented. Part of the problem may stem from developments largely outside the control of the enterprise – including bad debts, increased competition, higher interest rates, falling demand – and factors such as these affect businesses of all types and all sizes, not just sole traders. Other difficulties, such as lack of funds for expansion, poor marketing, lack of research of the marketplace and insufficient management skills are to some extent self-induced and emanate, at least in part, from the decision to become a sole proprietor rather than some other form of business organisation. Where such constraints exist, the sole trader may be tempted to look to others to share the burdens and the risks by establishing a partnership or co-operative or limited company or by seeking a different approach to the business venture, such as through ‘franchising’. These alternative forms of business organisation are discussed in detail below.

The partnership

The Partnership Act 1890 defines a **partnership** as ‘the relation which subsists between persons carrying on a business in common with a view to profit’. Like the sole trader, this form of business organisation does not have its own distinct legal personality and hence the owners – the partners – have unlimited personal liability both jointly and severally. This means that in the case of debts or bankruptcy of the partnership, each partner is liable in full for the whole debt and each in turn may be sued or their assets seized until the debt is satisfied. Alternatively, all the partners may be joined into the action to recover debts, unless by dint of the Limited Partnership Act 1907, a partner (or partners) has limited liability. Since it tends to be much easier to achieve the same ends by establishing a limited company, limited partnerships are not common; nor can all partners in a partnership have limited

liability. Hence in the discussion below, attention is focused on the partnership as an unincorporated association, operating in a market where its liability is effectively unlimited.

In essence, a partnership comes into being when two or more people establish a business which they own, finance and run jointly for personal gain, irrespective of the degree of formality involved in the relationship. Such a business can range from a husband and wife running a local shop as joint owners, to a very large firm of accountants or solicitors, with in excess of a hundred partners in offices in various locations. Under the law, most partnerships are limited to 20 or less, but some types of business, particularly in the professions, may have a dispensation from this rule (Companies Act 1985, s 716). This same Act requires businesses which are not exempt from the rule and which have more than 20 partners to register as a company.

While it is not necessary for a partnership to have a formal written agreement, most partnerships tend to be formally enacted in a Deed of Partnership or Articles since this makes it much easier to reduce uncertainty and to ascertain intentions when there is a written document to consult. Where this is not done, the Partnership Act 1890 lays down a minimum code which governs the relationship between partners and which provides, amongst other things, for all partners to share equally in the capital and profits of the business and to contribute equally towards its losses.

In practice, of course, where a Deed or Articles exist, these will invariably reflect differences in the relative status and contribution of individual partners. Senior partners, for example, will often have contributed more financially to the partnership and not unnaturally will expect to receive a higher proportion of the profits. Other arrangements – including membership, action on dissolution of the partnership, management responsibilities and rights, and the basis for allocating salaries – will be outlined in the partnership agreement and as such will provide the legal framework within which the enterprise exists and its co-owners operate.

Unlike the sole trader, where management responsibilities devolve on a single individual, partnerships permit the sharing of responsibilities and tasks and it is common in a partnership for individuals to specialise to some degree in particular aspects of the organisation's work – as in the case of a legal or medical or veterinary practice. Added to this, the fact that more than one person is involved in the ownership of the business tends to increase the amount of finance available to the organisation, thus permitting expansion to take place without the owners losing control of the enterprise. These two factors alone tend to make a partnership an attractive proposition for some would-be entrepreneurs; while for others the rules of their professional body – which often prohibits its members from forming a company – effectively provide for the establishment of this type of organisation.

On the downside, the sharing of decisions and responsibilities may represent a problem, particularly where partners are unable to agree over the direction the partnership should take or the amount to be reinvested in the business, unless such matters are clearly specified in a formal agreement. A more intractable problem is the existence of unlimited personal liability – a factor which may inhibit some individuals from considering this form of organisation, particularly given that the actions of any one partner are invariably binding on the other members of the business. To overcome this problem, many individuals, especially in manufacturing and trading, look to the limited company as the type of organisation which can

combine the benefits of joint ownership and limited personal liability – a situation not necessarily always borne out in practice. It is to this type of business organisation that the discussion now turns.

Limited companies

In law a **company** is a corporate association having a legal identity in its own right (i.e. it is distinct from the people who own it, unlike in the case of a sole trader or partnership). This means that all property and other assets owned by the company belong to the company and not to its members (owners). By the same token, the personal assets of its members (the **shareholders**) do not normally belong to the business. In the event of insolvency, therefore, an individual's liability is limited to the amount invested in the business, including any amount remaining unpaid on the shares for which they have subscribed.¹ One exception to this would be where a company's owners have given a personal guarantee to cover any loans they have obtained from a bank or other institution – a requirement for many small, private limited companies. Another occurs where a company is limited by guarantee rather than by shares, with its members' liability being limited to the amount they have undertaken to contribute to the assets in the event of the company being wound up. Companies of this type are normally non-profit-making organisations – such as professional, research or trade associations – and are much less common than companies limited by shares. Hence in the discussion below, attention is focused on the latter as the dominant form of business organisation in the corporate sector of business.²

Companies are essentially business organisations consisting of two or more individuals who have agreed to embark on a business venture and who have decided to seek corporate status rather than to form a partnership.³ Such status could derive from an Act of Parliament or a Royal Charter, but is almost always nowadays achieved through 'registration', the terms of which are laid down in the various Companies Acts. Under the legislation, enacted in 1985 and 1989, individuals seeking to form a company are required to file numerous documents, including a **Memorandum of Association** and **Articles of Association**, with the Registrar of Companies. If satisfied, the Registrar will issue a Certificate of Incorporation, bringing the company into existence as a legal entity. As an alternative, the participants could buy a ready-formed company 'off the shelf', by approaching a company registration agent who specialises in company formations. In the United Kingdom, advertisements for ready-made companies appear regularly in magazines such as *Exchange and Mart* and *Dalton's Weekly*.



Companies' House can be accessed at www.companieshouse.gov.uk

Under British law a distinction is made between public and private companies. **Public limited companies** (PLCs) – not to be confused with public corporations, which in the UK are state-owned businesses (see below) – are those limited companies which satisfy the conditions for being a 'PLC'. These conditions require the company to have:

- a minimum of two shareholders;
- at least two directors;

- a minimum (at present) of £50000 of authorised and allotted share capital;
- the right to offer its shares (and debentures) for sale to the general public;
- a certificate from the Registrar of Companies verifying that the share capital requirements have been met; and
- a memorandum which states it to be a public company.

A company which meets these conditions must include the title ‘public limited company’ or ‘PLC’ in its name and is required to make full accounts available for public inspection. Any company unable or unwilling to meet these conditions is therefore, in the eyes of the law, a ‘private limited company’, normally signified by the term ‘Limited’ or ‘Ltd’.

Like the public limited company, the **private limited company** must have a minimum of two shareholders, but its shares cannot be offered to the public at large, although it can offer them to individuals through its business contacts. This restriction on the sale of shares, and hence on their ability to raise considerable sums of money on the open market, normally ensures that most private companies are either small or medium sized, and are often family businesses operating in a relatively restricted market; there are, however, some notable exceptions to this general rule (e.g. Virgin). In contrast, public companies – many of which began life as private companies prior to ‘going public’ – often have many thousands, even millions, of owners (shareholders) and normally operate on a national or international scale, producing products as diverse as computers, petro-chemicals, cars and banking services. Despite being outnumbered by their private counterparts, public companies dwarf private companies in terms of their capital and other assets, and their collective influence on output, investment, employment and consumption in the economy is immense.

Both public and private companies act through their **directors**. These are individuals chosen by a company’s shareholders to manage its affairs and to make the important decisions concerning the direction the company should take (e.g. investment, market development, mergers and so on). The appointment and powers of directors are outlined in the Articles of Association (the ‘internal rules’ of the organisation) and so long as the directors do not exceed their powers, the shareholders do not normally have the right to intervene in the day-to-day management of the company. Where a director exceeds his or her authority or fails to indicate clearly that they are acting as an agent for the company, they become personally liable for any contracts they make. Equally, directors become personally liable if they continue to trade when the company is insolvent and they may be dismissed by a court if it considers that an individual is unfit to be a director in view of their past record (Company Directors Disqualification Act 1985).

It is usual for a board of directors to have both a chairperson and a managing director, although many companies choose to appoint one person to both roles. The chairperson, who is elected by the other members of the board, is usually chosen because of their knowledge and experience of the business and their skill both internally in chairing board meetings and externally in representing the best interest of the organisation. As the public face of the company, the chairperson has an important role to play in establishing and maintaining a good public image and hence many large public companies like to appoint well-known public figures to this important position (e.g. ex-Cabinet ministers). In this case knowledge of the business is less important than the other attributes the individual might possess,

most notably public visibility and familiarity, together with a network of contacts in government and in the business world.

The **managing director**, or chief executive, fulfils a pivotal role in the organisation, by forming the link between the board and the management team of senior executives. Central to this role is the need not only to interpret board decisions but to ensure that they are put into effect by establishing an appropriate structure of delegated responsibility and effective systems of reporting and control. This close contact with the day-to-day operations of the company places the appointed individual in a position of considerable authority and they will invariably be able to make important decisions without reference to the full board. This authority is enhanced where the managing director is also the person chairing the board of directors and/or is responsible for recommending individuals to serve as executive directors (i.e. those with functional responsibilities such as production, marketing, finance).

Like the managing director, most, if not all, **executive directors** will be full-time executives of the company, responsible for running a division or functional area within the framework laid down at board level. In contrast, other directors will have a **non-executive** role and are usually part-time appointees, chosen for a variety of reasons, including their knowledge, skills, contacts, influence, independence or previous experience. Sometimes, a company might be required to appoint such a director at the wishes of a third party, such as a merchant bank which has agreed to fund a large capital injection and wishes to have representation on the board. In this case, the individual tends to act in an advisory capacity – particularly on matters of finance – and helps to provide the financing institution with a means of ensuring that any board decisions are in its interests.

In Britain the role of company directors and senior executives in recent years has come under a certain amount of public scrutiny and has culminated in a number of enquiries into issues of power and pay. In the Cadbury Report (1992), a committee, with Sir Adrian Cadbury as chairperson, called for a non-statutory code of practice which it wanted applied to all listed public companies. Under this code the committee recommended:

- a clear division of responsibilities at the head of a company to ensure that no individual had unfettered powers of decision;
- a greater role for non-executive directors;
- regular board meetings;
- restrictions on the contracts of executive directors;
- full disclosure of directors' total enrolments;
- an audit committee dominated by non-executives.

The committee's stress on the important role of non-executive directors was a theme taken up in the Greenbury Report (1995) which investigated the controversial topic of executive salaries in the wake of a number of highly publicised pay rises for senior company directors. Greenbury's recommendations included:

- full disclosure of directors' pay packages, including pensions;
- shareholder approval for any long-term bonus scheme;
- remuneration committees consisting entirely of non-executive directors;
- greater detail in the annual report on directors' pay, pensions and perks;
- an end to payments for failure.

Greenbury was followed by a further investigation into corporate governance by a committee under the chairmanship of ICI chairman Ronald Hampel. The Hampel Report (1998) called for greater shareholder responsibility by companies and increased standards of disclosure of information; it supported Cadbury's recommendation that the role of chairperson and chief executive should normally be separated. As might have been anticipated, the Hampel Report advocated self-regulation as the best approach for UK companies.

As far as the issue of non-executive directors was concerned, this was investigated further by the Higgs Committee which was set up in 2002 and which reported the following year. In essence the Higgs Report set down a code of non-binding corporate guidelines regarding the role of non-executive directors on company boards. Like the Cadbury Report, Higgs recommended that the role of chairperson and chief executive should be kept separate and that the former should be independent, though not necessarily non-executive. As for non-executive directors, Higgs recommended that at least half the board should be independent and that non-executives should play key roles in areas such as strategy, performance, risk and the appointment and remuneration of executive directors. The latter issue, in particular, has been an area of considerable controversy in the UK in recent years and seems destined to remain so for some time.

mini case Daimler-Benz under pressure

Public companies have to satisfy the conflicting demands of a range of stakeholder groups (see below), not least their shareholders who expect the organisation to operate in their interest. On the whole, individual shareholders are usually relatively quiescent, leaving the strategic and day-to-day decisions to the organisation's directors and senior executives. As an increasing number of public companies have found, however, many shareholders are becoming more actively involved in corporate decisions which affect their investments and have been willing to voice their feelings at shareholders' meetings and to the media. This is particularly true of large corporate investors.

Daimler-Benz, Germany's biggest industrial group, is an example of a company which has experienced this rise in shareholder militancy. At its centenary annual meeting held in Stuttgart in May 1996, the company's senior personnel faced around 10 000 shareholders, a significant number of whom expressed concern over record losses, allegations of executive deceit and plans to shed another aerospace subsidiary. Both the board of directors and the supervisory board were accused of failure by small shareholders who had recently experienced no dividends on the back of the largest loss in German corporate history. Claims by board chairperson Jürgen Schrempp that he was seeking to turn the situation around and to promote 'shareholder value' did little to placate the critics who were keen to see heads roll.

Apart from allegations of incompetence and abuse of position, the directors were subjected to criticisms from environmentalist shareholders and those campaigning against the company's sales of military hardware. This only serves to demonstrate that *within* any one stakeholder group there will tend to be a range of different opinions and interests – a fact which can make the task of satisfying stakeholder aspirations considerably more difficult.

Co-operatives

Consumer co-operative societies

Consumer societies are basically ‘self-help’ organisations which have their roots in the anti-capitalist sentiment which arose in mid-nineteenth-century Britain and which gave rise to a consumer co-operative movement dedicated to the provision of cheap, unadulterated food for its members and a share in its profits. Today this movement boasts a multibillion-pound turnover, a membership numbered in millions and an empire which includes thousands of food stores (including the Alldays convenience chain purchased in 2002), numerous factories and farms, dairies, travel agencies, opticians, funeral parlours, a bank and an insurance company, and property and development business. Taken together, these activities ensure that the Co-operative Group remains a powerful force in British retailing into the early twenty-first century.

web link

The Co-operative Group’s website address is www.co-op.co.uk

Although the co-operative societies, like companies, are registered and incorporated bodies – in this case under the Industrial and Provident Societies Act – they are quite distinct trading organisations. These societies belong to their members (i.e. invariably customers who have purchased a share in the society) who elect Area Committees to oversee trading areas. These committees have annual elections and meetings for all members and these in turn appoint members on to regional boards and elect individual member directors to the Group Board. The Group Board also includes directors of corporate members who are representatives of other societies. Individual stores may also have member forums. Any profits from the Group’s activities are supposed to benefit the members. Originally this took the form of a cash dividend paid to members in relation to their purchases, but this was subsequently replaced either by trading stamps or by investment in areas felt to benefit the consumer (e.g. lower prices, higher-quality products, modern shops, and so on) and/or the local community (e.g. charitable donations, sponsorship). The twice-yearly cash dividend has, however, recently been reintroduced.

The societies differ in other ways from standard companies. For a start, shares are not quoted on the Stock Exchange and members are restricted in the number of shares they can purchase and in the method of disposal. Not having access to cheap sources of capital on the stock market, co-operatives rely heavily on retained surpluses and on loan finance, and the latter places a heavy burden on the societies when interest rates are high. The movement’s democratic principles also impinge on its operations and this has often been a bone of contention as members have complained about their increasing remoteness from decision-making centres. Some societies have responded by encouraging the development of locally elected committees, to act in an advisory or consultative capacity to the society’s board of directors and it looks likely that others will be forced to consider similar means of increasing member participation, which still remains very limited.

web link

The Co-operative Commission has put forward numerous proposals for changes which are designed to improve the performance of societies. See www.co-opcommission.org.uk

The movement's historical links with the British Labour Party are also worth noting and a number of parliamentary candidates are normally sponsored at general elections. These links, however, have tended to become slightly looser in recent years, although the movement still contributes to Labour Party funds and continues to lobby politicians at both national and local level. It is also active in seeking to influence public opinion and, in this, claims to be responding to customer demands for greater social and corporate responsibility. Among its initiatives are the establishment of a customer's charter (by the Co-operative Bank) and the decision to review both its investments and the individuals and organisations it does business with, to ascertain that they are acceptable from an ethical point of view.

Workers' co-operatives

In Britain, **workers' co-operatives** are found in a wide range of industries, including manufacturing, building and construction, engineering, catering and retailing. They are particularly prevalent in printing, clothing and wholefoods, and some have been in existence for over a century. The majority, however, are of fairly recent origin, having been part of the growth in the number of small firms which occurred in the 1980s.

As the name suggests, a workers' co-operative is a business in which the ownership and control of the assets are in the hands of the people working in it, having agreed to establish the enterprise and to share the risk for mutual benefit. Rather than form a standard partnership, the individuals involved normally register the business as a friendly society under the Industrial and Provident Societies Acts 1965–78, or seek incorporation as a private limited company under the Companies Act 1985. In the case of the former, seven members are required to form a co-operative, while the latter only requires two. In practice, a minimum of three or four members tends to be the norm and some co-operatives may have several hundred participants, frequently people who have been made redundant by their employers and who are keen to keep the business going.

The central principles of the movement – democracy, open membership, social responsibility, mutual co-operation and trust – help to differentiate the co-operative from other forms of business organisation and govern both the formation and operation of this type of enterprise. Every employee may be a member of the organisation and every member owns one share in the business, with every share carrying an equal voting right. Any surpluses are shared by democratic agreement and this is normally done on an equitable basis, reflecting, for example, the amount of time and effort an individual puts into the business. Other decisions, too, are taken jointly by the members and the emphasis tends to be on the quality of goods or services provided and on creating a favourable working environment, rather than on the pursuit of profits – although the latter cannot be ignored if the organisation is to survive. In short, the co-operative tends to focus on people and on the relationship between them, stressing the co-operative and communal traditions associated with its origins, rather than the more conflictual and competitive aspects inherent in other forms of industrial organisation.

Despite these apparent attractions, workers' co-operatives have never been as popular in Britain as in other parts of the world (e.g. France, Italy, Israel), although a substantial increase occurred in the number of co-operatives in the 1980s, largely as a result of

growing unemployment, overt support across the political spectrum and the establishment of a system to encourage and promote the co-operative ideal (e.g. Co-operative Development Agencies).⁴ More recently, however, their fortunes have tended to decline, as employee shareholding and profit schemes (ESOPs) have grown in popularity. It seems unlikely that workers' co-operatives will ever form the basis of a strong third sector in the British economy, between the profit-oriented firms in the private sector and the nationalised and municipal undertakings in the public sector.

Public sector business organisations in the UK



Public sector organisations come in a variety of forms. These include:

- central government departments (e.g. Department of Trade and Industry);
- local authorities (e.g. Lancashire County Council);
- regional bodies (e.g. Regional Development Agencies);
- non-departmental public bodies or quangos (e.g. the Arts Council);
- central government trading organisations (e.g. The Stationery Office); and
- public corporations and nationalised industries (e.g. the BBC).

Some of these were discussed in Chapter 3, which examined the political environment, and numerous other references to the influence of government on business activity can be found throughout the book, most notably in Chapters 4, 9, 11, 13, 14 and 15. In the discussion below, attention is focused on those public sector organisations which most closely approximate businesses in the private sector, namely, public corporations and municipal enterprises. An examination of the transfer of many of these public sector bodies to the private sector – usually termed ‘privatisation’ – is contained in Chapter 15.

Public corporations

Private sector business organisations are owned by private individuals and groups who have chosen to invest in some form of business enterprise, usually with a view to personal gain. In contrast, in the public sector the state owns assets in various forms, which it uses to provide a range of goods and services felt to be of benefit to its citizens, even if this provision involves the state in a ‘loss’. Many of these services are provided directly through government departments (e.g. social security benefits) or through bodies operating under delegated authority from central government (e.g. local authorities, health authorities). Others are the responsibility of state-owned industrial and commercial undertakings, specially created for a variety of reasons and often taking the form of a ‘**public corporation**’. These state corporations are an important part of the public sector of the economy and have contributed significantly to national output, employment and investment. Their numbers, however, have declined substantially following the wide-scale ‘privatisation’ of state industries which occurred in the 1980s and this process has continued through the 1990s and beyond with the sale of corporations such as British Coal, British Rail and British Energy (see Chapter 15).

Public corporations are statutory bodies, incorporated (predominantly) by special Act of Parliament and, like companies, they have a separate legal identity from the individuals who own them and run them. Under the statute setting up the corporation, reference is made to the powers, duties and responsibilities of the organisation and to its relationship with the government department which oversees its operations. In the past these operations have ranged from providing a variety of national and international postal services (the Post Office), to the provision of entertainment (the BBC), an energy source (British Coal) and a national rail network (British Rail). Where such provision involves the organisation in a considerable degree of direct contact with its customers, from whom it derives most of its revenue, the corporation tends to be called a '**nationalised industry**'. In reality, of course, the public corporation is the legal form through which the industry is both owned and run and every corporation is to some degree unique in structure as well as in functions.

As organisations largely financed as well as owned by the state, public corporations are required to be publicly accountable and hence they invariably operate under the purview of a 'sponsoring' government department, the head of which (the Secretary of State) appoints a board of management to run the organisation. This board tends to exercise a considerable degree of autonomy in day-to-day decisions and operates largely free from political interference on most matters of a routine nature. The organisation's strategic objectives, however, and important questions concerning reorganisation or investment, would have to be agreed with the sponsoring department, as would the corporation's performance targets and its external financing limits.

The link between the corporation and its supervising ministry provides the means through which Parliament can oversee the work of the organisation and permits ordinary Members of Parliament to seek information and explanation through question time, through debates and through the select committee system. Additionally, under the Competition Act 1980, nationalised industries can be subject to investigation by the Competition Commission (see Chapter 15), and this too presents opportunities for further parliamentary discussion and debate, as well as for government action.

A further opportunity for public scrutiny comes from the establishment of industry-specific Consumers' or Consultative Councils, which consider complaints from customers and advise both the board and the department concerned of public attitudes to the organisation's performance and to other aspects of its operations (e.g. pricing). In a number of cases, including British Rail before privatisation, pressure on government from consumers and from other sources has resulted in the establishment of a 'Customers' Charter', under which the organisation agrees to provide a predetermined level of service or to give information and/or compensation where standards are not achieved. Developments of this kind are already spreading to other parts of the public sector and in future may be used as a means by which governments decide on the allocation of funds to public bodies, as well as providing a vehicle for monitoring organisational achievement.

It is interesting to note that mechanisms for public accountability and state regulation have been retained to some degree even where public utilities have been 'privatised' (i.e. turned into public limited companies). Industries such as gas, electricity, water and telecommunications are watched over by newly created regulatory bodies which are designed to protect the interests of consumers, particularly with regard to pricing and the standard of service provided. Ofgas, for

example, which used to regulate British Gas, monitored gas supply charges to ensure that they reasonably reflected input costs and these charges could be altered by the 'regulator' if they were seen to be excessive. Similarly, in the case of non-gas services, such as maintenance, the legislation privatising the industry only allowed prices to be raised to a prescribed maximum, to ensure that the organisation was not able to take full advantage of its monopoly power. The regulator of the gas market is now Ofgem – see Chapter 15.)

An additional source of government influence has come through its ownership of a 'golden share' in a privatised state industry which effectively gives the government a veto in certain vital areas of decision making. This notional shareholding – which is written into the privatisation legislation – tends to last for a number of years and can be used to protect a newly privatised business from a hostile takeover, particularly by foreign companies or individuals. Ultimately, however, the expectation is that this veto power will be relinquished and the organisation concerned will become subject to the full effects of the market – a point exemplified by the government's decision to allow Ford to take over Jaguar in 1990, having originally blocked a number of previous takeover bids.

The existence of a 'golden share' should not be equated with the decision by government to retain (or purchase) a significant proportion of issued shares in a privatised (or already private) business organisation, whether as an investment and/or future source of revenue, or as a means of exerting influence in a particular industry or sector. Nor should it be confused with government schemes to attract private funds into existing state enterprises, by allowing them to achieve notional company status in order to overcome Treasury restrictions on borrowing imposed on public bodies. In the latter case, which often involves a limited share issue, government still retains full control of the organisation by owning all (or the vast majority) of the shares – as in the case of Consignia (formerly known as the Post Office). In March 2001 Consignia was incorporated as a government-owned public company. This change in legal status allowed the company more freedom to borrow and invest in the business, to make acquisitions and to enter into joint ventures and to expand internationally. Since the last edition was published the name Consignia has been dropped in favour of the original name.

Municipal enterprises

UK local authorities have a long history of involvement in business activity. In part this is a function of their role as central providers of public services (e.g. education, housing, roads, social services) and of their increasing involvement in supporting local economic development initiatives (see Chapter 11). But their activities have also traditionally involved the provision of a range of marketable goods and services, not required by law but provided voluntarily by a local authority and often in direct competition with the private sector (e.g. theatres, leisure services, museums). Usually such provision has taken place under the aegis of a local authority department which appoints staff who are answerable to the council and to its committees through the department's chief officer and its elected head. Increasingly, though, local authorities are turning to other organisational arrangements – including the establishment of companies and trusts – in order to separate some of these activities

from the rest of their responsibilities and to create a means through which private investment in the enterprise can occur.

One example of such a development can be seen in the case of local authority controlled airports which are normally the responsibility of a number of local authorities who run them through a joint board, representing the interests of the participating district councils (e.g. Manchester International Airport). Since the Airports Act 1986, local authorities with airports have been required to create a limited company in which their joint assets are vested and which appoints a board of directors to run the enterprise. Like other limited companies, the organisation can, if appropriate, seek private capital and must publish annual accounts, including a profit and loss statement. It can also be 'privatised' relatively easily if the local authorities involved decide to relinquish ownership (e.g. the former East Midlands Airport now renamed Nottingham East Midlands Airport and part of the Manchester Airports Group).

Such developments, which have parallels in other parts of the public sector, can be seen to have had at least four benefits:

- 1 They have provided a degree of autonomy from local authority control that is seen to be beneficial in a competitive trading environment.
- 2 They have given access to market funds by the establishment of a legal structure that is not fully subject to central government restrictions on local authority borrowing.
- 3 They helped local authority organisations to compete more effectively under the now defunct system of compulsory competitive tendering (CCT), by removing or reducing charges for departmental overheads that are applied under the normal arrangements.
- 4 They have provided a vehicle for further private investment and for ultimate privatisation of the service.

Given these benefits and the current fashion for privatisation, there is little doubt that they will become an increasing feature of municipal enterprise in the foreseeable future. That said, local authorities are restricted in their degree of ownership of companies following the passage of the 1990 Local Government and Housing Act.

Business organisations in mainland Europe



Sole traders, partnerships, co-operatives and limited companies are to be found throughout Europe and beyond, and in many cases their legal structure is similar to that of their British counterparts. Where differences occur, these are often a reflection of historical and cultural factors which find expression in custom and practice as well as in law. Examples of some of these differences are contained in the discussion below, which focuses on France, Germany, Denmark and Portugal.

France

Numerically, the French economy is dominated by very small businesses (i.e. fewer than ten employees), the majority of which are sole traders. As in Britain, these are owner-managed-and-operated enterprises, with a husband and wife often assuming

joint responsibility for the business. Formal requirements in this type of organisation tend to be few, although individuals as well as companies engaging in a commercial business are required to register before trading officially begins. Since this process is relatively simple and there are no minimum capital requirements nor significant reporting obligations, sole traderships tend to be preferred by the vast majority of individuals seeking to start a business and they are particularly prevalent in the service sector. They carry, however, unlimited personal liability for the owner, whose personal assets are at risk in the event of business failure.

Most of the remaining French business organisations are limited companies, many of which are *Petites et Moyennes Entreprises* (PMEs) – small and medium enterprises – employing between 10 and 500 employees. These companies come in a variety of legal forms, but two in particular predominate: the *Société à Responsabilité Limitée* (SARL) and the *Société Anonyme* (SA). A new company form, the *Société Anonyme Simplifiée* was created by statute in 1994 and combines the legal status of a corporation with the flexibility of a partnership.

The SARL tends to be the form preferred by smaller companies, whose owners wish to retain close control of the organisation; hence many of them are family businesses – an important feature of the private sector in France. This type of enterprise can be established (currently) with a minimum capital of €7500, cannot issue shares to the general public, has restrictions on the transfer of shares and is run by individuals appointed by the shareholders – usually the shareholders themselves and/or relatives. In practice, these various restrictions help to ensure that the owner-managers remain dominant in the organisation and the appointed head of the company will invariably be the most important decision maker. Concomitantly, they help to provide the organisation with a defence against hostile takeover, particularly by overseas companies looking for a French subsidiary in order to avoid the special rules which apply to branches and agencies (e.g. a foreign parent company has unlimited liability for the debts of its branch or agency, since these do not have a separate legal identity).

The SA is the legal form normally chosen by larger companies seeking access to substantial amounts of capital. In the case of a privately owned company, the minimum capital requirement is currently €37 000; if publicly owned the minimum is €225 000 million. Where capital assets are substantial, this tends to ensure that financial institutions are large shareholders in SAs and many of them have interests in a wide range of enterprises which they often manage through a holding company (see below). One advantage of this arrangement is that it provides the financial institution with a means of managing its investments and of exerting influence over companies in which it has a large minority stake. Another is that it provides a means of defending French companies from hostile takeovers and hence small and medium enterprises often seek backing from holding companies to help fend off foreign predators.

As in Britain, the legal basis of the SA provides for a clear distinction between the roles of the owners (the shareholders) and the salaried employees, and it is the former who appoint the company's board of directors. In smaller companies, the chairperson and managing director is often the same person and many smaller French companies continue to have extremely strong central control, often by the head of the owning family. In larger companies, the two roles are normally separated, with the managing director assuming responsibility for the day-to-day

operations of the enterprise and forming the link between the board and the company's senior executives and managers, some of whom may have considerable delegated authority.

It is worth noting that in companies with more than 50 employees, there is a legal requirement to have elected work councils, and workers' delegates have the right to attend board meetings as observers and to be consulted on matters affecting working conditions. In companies with more than ten employees, workers have the right to elect representatives to look after their interests and regular meetings have to take place between management and workers, over and above the obligation of employers to negotiate annually on pay and conditions. Despite these arrangements and the legal right for unions to organise on a company's premises, trade union membership – outside state-run companies – remains low and hence union influence tends to be limited. Recent steps to encourage local agreements on pay and conditions seem destined to reduce this influence even further – a situation which has parallels in Britain.

Germany

All major forms of business organisation are to be found in Germany, but it is the limited company which is of particular interest. Some of these are of relatively recent origin, having formerly been East German state-owned enterprises which have undergone 'privatisation' following the reunification of the country.

In numerical terms it is the private limited company (*Gesellschaft mit beschränkter Haftung* – GmbH) which predominates and which is the form chosen by most foreign companies seeking to establish an enterprise in Germany. As in Britain, this type of organisation has to be registered with the authorities and its founding members must prepare Articles of Association for signature by a public notary. The Articles include information on the purpose of the business, the amount of capital subscribed, the members' subscriptions and obligations and the company's name and registered address. Once the registration process is complete – usually a matter of a few days – the personal liability of the members becomes limited to the amount invested in the business. Currently, the minimum amount of subscribed share capital required for registration is €25 000, half of which must be paid up by the company itself.

Large numbers of GmbHs are owned and run by German families, with the banks often playing an influential role as guarantors of part of the initial capital and as primary sources of loan finance. As in France, this pattern of ownership makes hostile takeovers less likely, as well as ensuring that the management of the enterprise remains in the hands of the owners. Significantly, the management of a proposed GmbH is subject to quality control, being required to prove that they are qualified for the task prior to trading. This requirement stands in stark contrast to arrangements in Britain, where no such guarantees are needed, other than those implicit in a bank's decisions to help finance a proposed venture on the basis of a business plan.

The procedures for establishing other types of business organisation are similar to those of the GmbH, although in the case of the public limited company (*Aktiengesellschaft* – AG), the current minimum amount of capital required at start-up is €50 000 in negotiable share certificates. Unlike British companies, the AG

usually consists of two boards of directors, one of which (the supervisory board) decides on longer-term strategy, while the other (the managing board) concentrates on more immediate policy issues, often of an operational kind. Normally half the members of the supervisory board (*Aufsichtsrat*) are elected by shareholders, while the other half are employees elected by the workforce, and it is the responsibility of the board to protect the interests of employees as well as shareholders.

Such worker representation at senior levels is an important element of the German system of business organisation and even in smaller enterprises workers have the right to establish works councils and to be consulted on social and personnel issues and on strategic decisions. Equally, all employees have a constitutional right to belong to a trade union – most of which are organised by industry rather than by craft or occupation, as is largely the case in the United Kingdom. Consequently, German companies typically negotiate with only one union; usually in an atmosphere which stresses consensus and an identity of social and economic interests, rather than conflict and confrontation.

Corporate finance is another area in which German experience differs from that in the United Kingdom, although the situation has changed to some degree in recent years. Historically, in Britain a substantial amount of company finance has been raised through the stock market and this is also the case in the United States and Japan. In Germany (and for that matter in France, Italy and Spain), the banks and a number of other special credit institutions play a dominant role, with bank loans far outstripping joint-stock financing as a source of long-term capital. Traditionally, German banks have been willing to take a longer-term view of their investment, even at the expense of short-term profits and dividends, and this has benefited German companies seeking to expand their operations. In return, the banks have tended to exert a considerable amount of influence in the boardrooms of many German companies, usually by providing a substantial number of members of a company's supervisory board, including the chairperson.

Denmark

Denmark, like France, is a country whose economy is dominated by small businesses, many of which are sole traders. As in other countries, there are very few regulations governing the establishment of this type of enterprise, other than the need to register for VAT if turnover exceeds a predetermined limit and to meet taxation and social security requirements. In keeping with practice throughout Europe and beyond, sole traders have unlimited personal liability and this imposes a considerable burden on the organisation's owner and family, who often run the business jointly. The same conditions also apply in the case of Danish partnerships – whether formal or informal – with the joint owners having full and unlimited liability for all debts accruing to the organisation.

Limited companies in Denmark also reflect practice elsewhere, being required to register under the Companies Act and having a legal existence separate from the owners and employees. Three main types of limited liability company can be distinguished:

- 1 The *Anpartselskaber* (ApS), which is a private joint-stock company, often run by a family and owned and controlled by a handful of individuals, one of whom may

simultaneously occupy the roles of main owner, chairperson and managing director. Many of these companies began life as sole traders, but for reasons of taxation and liability have registered as an ApS.

- 2 The *Aktieselskaber* (A/S), which is a quoted or (more regularly) unquoted public limited company, subject essentially to the same regulations as the ApS, but having a much larger minimum capital requirement on registration. A large number of A/S companies are still small businesses, run by family members who wish to retain control of the enterprise as an increase in assets occurs.
- 3 The AMBA is a special kind of limited company – in essence a tax-free co-operative with its own regulations. Many of these companies have grown over the years through merger and acquisition and some of them belong to larger Danish companies and employ a substantial number of workers. They tend to be concentrated in farm-related products, but can also be found in the service sector, especially wholesaling and retailing.

Portugal

A brief look at Portuguese business organisations reveals a range of legal structures which includes sole traders, joint ventures, complementary groups, unlimited companies, limited partnerships and public and private limited companies. In the case of the latter, capital requirements tend to be an important distinguishing feature with the Public Limited Company or Corporation (*Sociedade Anonima* – SA) having a much larger minimum capital requirement than the private company (*Sociedade Por Quotas or Limitada* – LDA) as in other countries.

The public sector in mainland Europe



Given the number of countries involved, it is impossible to survey the whole of the public sector in the rest of Europe. Students with an interest in this area are encouraged to read further and to consult the various specialist sources of information covering the countries they wish to investigate. A number of general points, however, are worthy of note:

- 1 Public sector business organisations can be found in all countries and invariably exist because of the decision by the state to establish a particular organisation under state ownership and control, or to nationalise an existing private business (or industry).
- 2 In some countries (e.g. France, Greece, Portugal) the state has traditionally played an important role in business and still controls some key sectors of the economy.
- 3 State involvement in business often includes significant shareholdings in a number of large enterprises, not only by the national government but also by regional and/or local government (e.g. in Germany).
- 4 State intervention often occurs in organisations or industries which can be deemed 'problematic' (e.g. in Greece).

- 5 Privatisation of state-owned enterprises has occurred throughout Europe and in other parts of the world. In the former East Germany, for example, most of the state-owned companies have been transferred to private ownership, by turning them initially into trusts which became the vehicle for privatisation and/or joint ventures. Similarly in Portugal, the wholesale nationalisation of the economy after the 1974 Revolution has been reversed and the government is committed to a phased programme of privatisation, involving employees and small investors as well as large national and international organisations.

This latter point serves to re-emphasise that the business environment is subject to change over time and the fashions of today may tomorrow become things of the past. This fluctuating environment is as applicable to the public sector as it is to the private sector of the economy.

Legal structure: some implications



For businesses in the private sector, the choice of legal structure has important implications. Among the factors which the aspiring entrepreneur has to take into account when deciding what form of business enterprise to establish are:

- the degree of personal liability;
- the willingness to share decision-making powers and risks;
- the costs of establishing the business;
- the legal requirements concerning the provision of public information;
- the taxation position;
- commercial needs, including access to capital; and
- business continuity.

For some, retaining personal control will be the main requirement, even at the risk of facing unlimited personal liability and reducing the opportunities for expansion. For others, the desire to limit personal liability and to provide increased capital for growth will dictate that the owner seeks corporate status, even if this necessitates sharing decision-making powers and may ultimately result in a loss of ownership and/or control of the enterprise.

This link between an organisation's legal structure and its subsequent operations can be illustrated by examining three important facets of organisational life: the organisation's objectives, its sources of finance and its stakeholders. As the analysis below illustrates, in each of these areas significant differences occur between alternative forms of business organisation, both *within* the private sector and *between* the state and non-state sectors of the economy. In some cases, these differences can be attributed directly to the restraints (or opportunities) faced by an organisation as a result of its legal status, suggesting that the legal basis of the enterprise conditions its operations. In other cases operational considerations tend to dictate the organisation's legal form, indicating that these are as much a cause of its legal status as a result of it – a point well illustrated by the workers' co-operative and the public corporation.

Organisational objectives

All business organisations pursue a range of objectives and these may vary to some degree over time. New private sector businesses, for example, are likely to be concerned initially with survival and with establishing a position in the marketplace, with profitability and growth seen as less important in the short term. In contrast, most well-established businesses will tend to regard profits and growth as key objectives and may see them as a means towards further ends, including market domination, maximising sales revenue and/or minimising operating costs.

Organisational objectives are also conditioned by the firm's legal structure. In sole traders, partnerships and some limited companies, control of the enterprise rests in the hands of the entrepreneur(s) and hence organisational goals will tend to coincide with the personal goals of the owner(s), whatever the point in the organisation's life cycle. In public companies, however – where ownership tends to be separated from control – the goals of the owners (shareholders) may not always correspond with those of the directors and senior managers who run the organisation, particularly when the latter are pursuing personal goals to enhance their own organisational position, status and/or rewards.

It is worth noting that the possibility of goal conflict also occurs where an individual company becomes a subsidiary of another organisation, whether by agreement or as a result of a takeover battle. This parent–subsidiary relationship may take the form of a holding company which is specially created to purchase a majority (sometimes all) of the shares in other companies, some of which may operate as holding companies themselves. Thus, while the individual subsidiaries may retain their legal and commercial identities and may operate as individual units, they will tend to be controlled by a central organisation which may exercise a considerable degree of influence over the objectives to be pursued by each of its subsidiaries. It is not inconceivable, for example, that some parts of the group may be required to make a loss on paper, particularly when there are tax advantages to be gained by the group as a whole from doing so.

Workers' co-operatives and public corporations provide further evidence of the relationship between an organisation's legal status and its primary objectives. In the case of the former, the establishment of the enterprise invariably reflects a desire on the part of its members to create an organisation which emphasises social goals (e.g. democracy, co-operation, job creation, mutual trust) rather than the pursuit of profits – hence the choice of the 'co-operative' form. Similarly in the case of the public corporation, a decision by government to establish an entity which operates in the interests of the public at large (or 'national interest') favours the creation of a state-owned-and-controlled organisation, with goals laid down by politicians and generally couched in social and financial terms (e.g. return on assets, reinvestment, job creation) rather than in terms of profit maximisation.

This apparent dichotomy between the profit motive of the private sector and the broader socio-economic goals of public bodies has, however, become less clear-cut over the last decade, as an increasing number of state-owned organisations have been 'prepared' for privatisation and successive governments have sought to bring private money into public projects by creating public/private partnerships. Equally, in other parts of the public sector – including the health service and local govern-

ment – increasing stress is being laid on ‘best value’ and on operating within budgets – concepts which are familiar to businesses in the private sector. While it is not inconceivable that a change in government could reverse this trend, current evidence suggests that a shift in cultural attitudes has occurred and public bodies can no longer rely on unconditional government support for their activities. If this is the case, further convergence is likely to occur between state and privately owned bodies, with the former moving towards the latter rather than vice versa.

Finance

Business organisations finance their activities in a variety of ways and from a range of sources. Methods include reinvesting profits, borrowing, trade credit and issuing shares and debentures. Sources include the banks and other financial institutions, individual investors and governments, as well as contributions from the organisation’s original owners (see Chapter 9).

In the context of this chapter it is appropriate to make a number of observations about the topic as it relates generally to the business environment:

- 1 All organisations tend to fund their activities from both internal (e.g. owner’s capital, reinvested profits) and external sources (e.g. bank borrowing, sale of shares).
- 2 Financing may be short term, medium term or longer term, and the methods and sources of funding chosen will reflect the time period concerned (e.g. bank borrowing on overdraft tends to be short term and generally needed for immediate use).
- 3 Funds raised from external sources inevitably involve the organisation in certain obligations (e.g. repayment of loans with interest, personal guarantees, paying dividends) and these will act as a constraint on the organisation at some future date.
- 4 The relationship between owner’s capital and borrowed funds – usually described as an organisation’s **gearing** – can influence a firm’s activities and prospects in a variety of ways (e.g. high-g geared firms with a large element of borrowed funds will be adversely affected if interest rates are high).
- 5 Generally speaking, as organisations become larger many more external sources and methods of funding become available and utilising these can have implications for the structure, ownership and conduct of the organisation.

This latter point is perhaps best illustrated by comparing sole traders and partnerships with limited companies. In the case of the former, as unincorporated entities neither the sole trader nor the partnership can issue shares (or debentures) and hence their access to large amounts of external capital is restricted by law. Companies have no such restrictions – other than those which help to differentiate a private company from a public one – and consequently they are able to raise larger amounts by inviting individuals (and organisations) to subscribe for shares. Where a company is publicly quoted on the stock market, the amounts raised in this way can be very large indeed and the resultant organisation may have millions of owners who change on a regular basis as shares are traded on the second-hand market.

Organisations which decide to acquire corporate status in order to raise funds for expansion (or for some other purposes) become owned by their shareholders, who

may be the original owners or may be individual and institutional investors holding equity predominantly as an investment and with little, if any, long-term commitment to the organisation they own. As indicated above, in the latter case, a separation tends to occur between the roles of owner (shareholder) and controller (director) and this can lead to the possibility of conflicting aims and objectives or differences in opinion over priorities within the enterprise – a problem discussed in more detail below under ‘Stakeholders’.

A further illustration of the relationship between an organisation’s legal structure and its ability to raise finance is provided by the public corporation. In this case, as a public body accountable to Parliament and the public via government, the public corporation is required to operate within a financial context largely controlled by government and normally conditioned by the government’s overall fiscal policy, including its attitude to the size of the Public Sector Borrowing Requirement (PSBR). One aspect of this context in Britain has been the establishment of external financing limits (EFLs) for each nationalised industry, arrived at by negotiation between government and the board running the public corporation, and used as a means of restraining monetary growth and hence the size of the PSBR. Unfortunately this has also tended to prevent the more financially sound corporations, such as British Telecom before privatisation, from borrowing externally on a scale necessary to develop their business – a restriction which tends to disappear when the corporation becomes a fully fledged public company, either through privatisation or by some other means.

Stakeholders

All organisations have **stakeholders**; these are individuals and/or groups who are affected by or affect the performance of the organisation in which they have an interest. Typically they would include employees, managers, creditors, suppliers, shareholders (if appropriate) and society at large. As Table 8.1 illustrates, an organisation’s stakeholders have a variety of interests which range from the pursuit of private gain to the more nebulous idea of achieving public benefit. Sometimes these interests will clash as, for example, when managers seek to improve the organisation’s cash flow by refusing to pay suppliers’ bills on time. On other occasions, the interests of different stakeholders may coincide, as when managers plan for growth in the organisation and in doing so provide greater job security for employees and enhanced dividends for investors.

The legal structure of an organisation has an impact not only on the type of stakeholders involved but also to a large degree on how their interests are represented. In sole traders, partnerships and smaller private companies, the coincidence of ownership and control limits the number of potential clashes of interest, given that objectives are set by and decisions taken by the firm’s owner-manager(s). In larger companies, and, in particular, public limited companies, the division between ownership and control means that the controllers have the responsibility of representing the interests of the organisation’s shareholders and creditors and, as suggested above, their priorities and goals may not always correspond.

A similar situation occurs in public sector organisations, where the interest of taxpayers (or ratepayers) is represented both by government and by those individu-

als chosen by government to run the organisation. In this case, it is worth recalling that the broader strategic objectives of the enterprise and the big decisions concerning policy, finance and investment tend to be taken by politicians, operating with advice from their officials (e.g. civil servants, local government officers) and within the context of the government's overall economic and social policies. The organisation's board of management and its senior executives and managers are mainly responsible for the day-to-day operations of the business, although the board and the person chairing it would normally play a key role in shaping overall objectives and decisions, through regular discussions with government and its officials.

Table 8.1 Organisational stakeholders and their interests

<i>Types of stakeholder</i>	<i>Possible principal interests</i>
Employees	Wage levels; working conditions; job security; personal development
Managers	Job security; status; personal power; organisational profitability; growth of the organisation
Shareholders	Market value of the investment; dividends; security of investment; liquidity of investment
Creditors	Security of loan; interest on loan; liquidity of investment
Suppliers	Security of contract; regular payment; growth of organisation; market development
Society	Safe products; environmental sensitivity; equal opportunities; avoidance of discrimination

One important way in which public sector organisations differ from their private sector counterparts is in the sanctions available to particular groups of stakeholders who feel that the organisation is not representing their best interests. Shareholders in a company, for example, could withdraw financial support for a firm whose directors consistently disregard their interests or take decisions which threaten the security and/or value of their investment, and the possibility of such a reaction normally guarantees that the board pays due attention to the needs of this important group of stakeholders. The taxpayer and ratepayer have no equivalent sanction and in the short term must rely heavily on government and its agencies or, if possible, their power as consumers to represent their interest *vis-à-vis* the organisation. Longer term, of course, the public has the sanction of the ballot box, although it seems highly unlikely that the performance of state enterprises would be a key factor in determining the outcome of general or local elections.

The relative absence of market sanctions facing state-owned organisations has meant that the public has had to rely on a range of formal institutions (e.g. parliamentary scrutiny committees, consumer consultative bodies, the audit authorities) and on the media to protect its interest in areas such as funding, pricing and quality of service provided. As these organisations are returned to the private sector, the expectation is that the sanctions imposed by the free market will once again operate and shareholders in privatised utilities will be protected like any other group of shareholders in a privately owned enterprise. To what extent this will occur in practice, of course, is open to question, while the newly privatised public corporations face little, if any, competition. Government, it seems, prefers to hedge its bets on this question, at least in the short term – hence the establishment of ‘regulators’ with powers of investigation into performance and some degree of control over pricing.

mini case **Big Mac gets bigger**

Growth through franchising has become a preferred option for many organisations, typified by McDonald's, which is the world's biggest fast food chain. Established in 1955 when Raymond Croc opened his first burger restaurant, McDonald's was estimated to have had in excess of 20 000 outlets spread across the globe by the end of 1996. Contrary to popular predictions, the organisation has continued to expand at a significant rate and has benefited from the opening of new markets in eastern Europe and the Far East. In the mid-1990s, for example, it was estimated that at its current rate of growth, a new McDonald's was opening somewhere in the world every three hours.

When considering applicants for a coveted McDonald's franchise the company has always been concerned to ensure that its reputation for quality and service is maintained. Potential franchisees have to demonstrate not only a successful track record in a previous occupation, but also that they have the necessary financial resources and a willingness to commit themselves to the organisation. Individuals making the grade have traditionally been offered two kinds of franchise scheme. The conventional franchise involves a 20-year agreement between the franchisee and the company under which the latter buys and develops the site which the former takes over and operates for an agreed price, as well as paying McDonald's a royalty fee based on a pre-agreed percentage of turnover. Under the other option – the business facilities lease – the individual leases the restaurant normally for a three-year period, prior to being offered the opportunity to convert to a conventional franchise if funds permit.

As far as future expansion in parts of western Europe is concerned it remains to be seen how far the 'beef scare' will affect market demand in the medium to long term, and hence the opportunities available to aspiring franchisees. Elsewhere in the world, there appears to be ample scope for would-be entrepreneurs to trade under the McDonald's brand name and to take advantage of the seemingly inexorable global demand for Big Macs and associated products.

Postscript: In late October 2002 McDonald's announced its intention of sharply cutting back on its expansion plans and redirecting its efforts towards supporting its existing chain of restaurants (see the *Guardian*, 23 October 2002). By 2005, McDonalds claimed to have over 30 000 local restaurants serving nearly 50 million people each day in more than 119 countries.



The website for McDonalds is www.mcdonalds.com

Franchising, licensing and joint ventures



To complete this review of the legal structure of business organisations, it is useful to consider three developments which have a legal aspect: franchising, licensing and joint ventures. All three may be seen as a means of carrying out a business venture in a way that reduces some of the risks normally faced by the entrepreneur.

Franchising

Franchising, which has grown significantly in recent years, is an arrangement where one party (the franchiser) sells the right to another party (the franchisee) to market its product or service. In terms of their legal status the parties involved could be any of the forms described above, but in practice it is usually the case that the franchiser is a company while the franchisee tends to be a sole trader or partnership. Both parties in law have a separate legal identity, but the nature of the contract between them makes their relationship interdependent and this has important implications for the operation of the franchise.

Franchise arrangements come in a variety of forms. Probably the best known is the 'business format franchise' (or 'trade name franchise') under which the franchiser agrees to allow the franchisee to sell the product or service with the help of a franchise package which contains all the elements needed to set up and run a business at a profit. These would typically include the brand name, any associated supplies, promotional material and other forms of support and assistance. In return the franchisee usually pays an initial sum or fee for the use of the service and its various elements, remits royalties based on sales and/or profits, agrees to make a contribution for consultancy, training and promotion, and undertakes to maintain standards. Wimpy, Kentucky Fried Chicken, Burger King, Prontaprint and Dynarod are examples of this type of franchise.

Other forms include manufacturer/retailer franchises (e.g. car dealers), manufacturer/wholesaler franchises (e.g. Coca-Cola, Pepsi) and wholesaler/retailer franchises (e.g. Spar and Mace) and it is estimated by the industry's trade body – the British Franchise Association – that in retailing alone franchising accounts for over 20 per cent of sales in the United Kingdom. One indication of its growing significance is the spread of franchising into further and higher education, with universities and other colleges of higher education franchising some of their courses to local further education colleges, which in turn may franchise some of their courses to schools and/or sixth-form colleges. Another indicator is the decision by many clearing banks and firms of accountants to establish franchise sections to help and advise individuals who want to open a franchise or who have already done so and are seeking further guidance.

web link

The British Franchise Association's main website is www.british-franchise.org

Undoubtedly the mutual benefits to be derived from a franchise arrangement help to explain its popularity as a way of doing business in both domestic and external markets and it has proved an attractive vehicle for some companies seeking rapid overseas expansion, without undertaking substantial direct investments – although this is sometimes necessary to support the operation (e.g. McDonald's had to invest in a plant to make hamburger buns in the United Kingdom). Equally, many would-be entrepreneurs find the security of a franchise more attractive than other methods of starting a business, especially as there is some evidence to suggest that franchises have better survival rates than the more conventional forms of independent enterprise (e.g. sole traders).

Current indications are that this popularity is likely to continue into the foreseeable future, although it is more likely that greater selectivity of potential franchisees will occur as the franchise industry becomes more mature and attempts to gain an increased degree of public respectability. Franchisees, too, are likely to become more particular about the businesses they agree to deal with, as they endeavour to join the enterprise culture. It is, after all, the franchisee who has to bear the financial risk of the business in return for a share in the profits; the franchiser has a reputation to think about.

Licensing

Licensing is another form of non-equity agreement under which a firm in one country (the licensor) authorises a firm in another country (the licensee) to use its intellectual property (e.g. patents, copyrights, trade names, know-how) in return for certain considerations, usually royalty payments. Licences may be granted to individuals, independent companies, subsidiaries of a multinational company or to government agencies and the rights granted may be exclusive or non-exclusive.

Companies invariably enter into licensing agreements to gain certain advantages. These might include:

- Reducing competition by sharing technology.
- Seeking overseas profits without direct foreign investment.
- Protecting an asset from potential ‘pirates’.
- Avoiding restrictions on foreign investment or imports imposed by other countries.
- Recouping some research and development costs.
- Gaining a share of an overseas market.

Needless to say, most organisations granting licences tend to be based in the advanced industrial economies and are frequently multinationals which regard their trade marks and technologies as an integral part of their asset base. One problem of transferring the use of such assets to another firm is that the owner loses a degree of control over the asset, including the quality of production, and this may affect the product’s image and sales elsewhere. Another is the possibility of the licensee dominating the market after the agreement ends, even to the extent of excluding the licensor from the marketplace by aggressive competition or the development of an alternative product.

Joint ventures

The term ‘**joint venture**’ tends to be used in two ways: to describe a contractual agreement involving two or more parties; or to describe a jointly owned and independently incorporated business venture involving more than one organisation. It is the latter usage which is mainly applied here.

Joint ventures – which are popular with international companies – can take a variety of legal forms and almost every conceivable type of partnership may exist, ranging from two companies joining together in the same domestic market (e.g. Sainsbury’s and British Home Stores set up the Savacentre chain), to joint

private/public sector ventures between participants from different countries. Sometimes numerous organisations may be involved and these may be based in one country or in several. Where this occurs the term '**consortium**' is often used, as in the case of TransManche Link (TML), the international joint venture which built the Channel Tunnel.

As with licensing and franchising, joint ventures have increased in popularity in the last 25–30 years and have been one of the ways in which international companies have sought to develop an overseas market, particularly in the face of import restrictions, or heavy research and development costs. Multinational car companies have been active in this field – as evidenced by past links between General Motors and Toyota, Ford and Mazda – and these arrangements look likely to continue as markets become more global. For western companies wishing to exploit the gradual 'privatisation' of the former planned economies of eastern Europe, joint ventures with indigenous producers are likely to prove a safer bet than direct inward investment, particularly given the degree of economic and political uncertainty. They are also likely to prove more politically acceptable in states seeking to establish their own economic independence and identity after almost 50 years of regional domination.

Synopsis



Market-based economies throughout Europe and beyond have a range of business organisations with broadly similar legal structures. These legal structures help to determine not only the ownership and control of the enterprise, but also other aspects of its operations, including its objectives, its access to finance and its external relationships and obligations. Viewing businesses as legal entities provides a useful insight into a number of the external influences which impinge upon their daily existence and highlights some of the consequences faced by organisations which transfer from public (i.e. state) to private ownership. It also sheds light on other important developments in entrepreneurial activity, including franchising, licensing and joint ventures.

Summary of key points



- Business organisations have a legal structure.
- The three commonest forms of business in the private sector are sole traders, partnerships and limited companies.
- Whereas the owners of the first two types of business organisation face unlimited personal liability, in companies the legal separation of the firm from its owners affords the latter limited personal liability.
- Companies are normally run by directors who are appointed to represent the interest of the owners (the shareholders). In public companies this separation of ownership and control is a key distinguishing feature.

- Other forms of business organisation exist in the public sector (e.g. the public corporation) and the 'third sector' (e.g. the co-operative).
- Government-owned businesses are increasingly adopting private sector forms of organisation to provide for greater flexibility and freedom of action.
- The legal status of the organisation has implications for the objectives of the enterprise, how it is financed and for its stakeholder relationships.

CASE STUDY

The entrepreneurial spirit

Business studies textbooks teach us that new businesses invariably come into existence to satisfy the needs and ambitions of their owners. Once established, it is assumed that an enterprise will begin to grow and that the owner(s) will sanction this and take steps to bring it about. As the two case studies below illustrate, these assumptions may be correct or not, according to specific circumstances. Arguing from the particular to the general needs to be approached with caution in business, as in any other field of study.

T & S Stores PLC

Like many medium- to large-sized businesses, T & S Stores started from relatively modest origins and was the brainchild of one individual, Kevin Threlfall, a Wolverhampton entrepreneur.

A barrow boy by background, Threlfall received his early business training working from the age of 12 on his parents' pitch in West Midlands markets. Despatched to public school, Threlfall soon found this market background was treated contemptuously by his fellow pupils and this made him determined to prove his worth in the business world. On leaving school he began providing pet-foods in bulk, before selling out his business and founding the Lo Cost food chain in 1972. This was subsequently bought for £1.5 million by Oriel Foods, later owned by the Argyll Group.

Threlfall's T & S Stores grew from the Wolverhampton market stalls and quickly expanded into retail outlets, with their emphasis on discount tobacco and convenience shopping. Using day-glo starbursts offering low-priced cigarettes, Threlfall cleverly attracted customers into his stores where they were tempted by the use of colourful confectionery gondolas and other techniques into impulse purchases of products carrying high margins. By keeping costs to a minimum, Threlfall was able to turn his company into a highly profitable enterprise with a stock market capitalisation of almost £140 million by 1991 and a chain of almost 600 stores.

In 1989, T & S acquired the Dillons and Preedy chains from Next for £54 million and subsequently purchased 22 stores from Johnson News Group for £4.25 million in February 1991, thus helping to increase the organisation's interest in convenience stores, which Threlfall believed would be the company's main area of future

growth. Trading from outlets larger than most of the T & S shops and offering an extended range of grocery and frozen-food lines, Threlfall's One Stop convenience stores generally achieved higher gross margins than the core tobacco shops and helped to contribute to the company's strong net cash position in the early 1990s. Despite these developments, Threlfall maintained close contacts with what was happening on the ground and attempted to maintain a degree of individual customer attention in a field of retailing which is rapidly changing.

Threlfall's entrepreneurial skills, coupled with the gains from introducing National Lottery and other facilities in many of the group's outlets, continued to strengthen the organisation's financial and trading position. With hundreds of stores and increasing turnover and pre-tax profits, T & S attracted outside investment from reputable fund managers who expressed confidence in the management's strategy of refocusing the business towards the growing convenience store market. Turnover by 2001 was recorded at £933 million; in 1995 it had been £445 million.

Postscript: T & S was acquired by Tesco in January 2003. It now trades under the One Stop brand and some stores have been converted to the Tesco Express format.

Dave Noble (Windsurfing)

Unlike Kevin Threlfall, Dave Noble came from a non-business background and had no ambitions as a child to seek a career in industry or commerce. Following A-levels at the local grammar school in Woking, Noble went to Aberystwyth University where he obtained a degree in philosophy, before continuing his studies at postgraduate level. After a brief spell doing research, he left university and worked on building sites, subsequently returning to study for a postgraduate certificate of education, a move which was to take him into teaching in Loughborough.

With the start of a family, Noble gave up his full-time teaching post to look after the children, continuing as a supply teacher as and when circumstances allowed. As a keen windsurfer, with an established reputation in the sport, he decided to use some of his time at home to make his own boards, buying the necessary fittings from suppliers to the trade. As requests from friends for similar equipment began to grow, Noble found himself dealing with suppliers on a larger scale and spending an increasing amount of his time making and equipping windsurfing boards. Before he had fully realised what was happening, Noble found himself in business as a sole trader, operating in the leisure industry, a growing sector in the UK economy.

With an initial injection of his own capital, supported by a weekly income from the government's Enterprise Allowance Scheme, Noble established his own venture in late 1986/early 1987, operating from home in Shepshed in Leicestershire. Despite only limited expenditure on advertising, the business began to grow quickly, allowing the venture to become totally self-financing. Before long, it became obvious that new premises would be needed and so in 1989 the Noble family (now five in total) moved to a Georgian house in the village of Wymeswold on the Leicestershire/Nottinghamshire border. Apart from providing adequate space for a growing family, the new house had numerous outbuildings suitable for making and selling equipment and for storing supplies and material. It was also sufficiently close to Shepshed to allow Noble to keep his existing customer and supplier bases which were fundamental to the success of the business.



Noble's initial enthusiasm at working from his village home – in a manner reminiscent of a traditional cottage industry – was soon to be dampened following complaints from neighbours who objected to the traffic from customers seeking boards and other equipment. Consequently, the business was forced to relocate to the nearby Wymeswold Airfield Industrial Estate, where Noble acquired two units from which to operate. Like other units on the estate, Noble's premises were relatively basic, but provided sufficient space for production, storage and sales and had more than adequate parking for customers and suppliers. Being in a rural location, with no houses in the immediate vicinity, complaints concerning disturbance ceased to be a problem for the business.

Despite the successive moves, Noble's business continued to grow, even in the recession years in the early 1990s. Part of this growth was manifestly attributable to the increased demand for leisure products, and the decision to add mountain bikes and ski equipment to the range of items on offer was clearly beneficial, although by no means part of a deliberate strategy of diversification. The most significant factor in the firm's success, however, and one which resulted in the need to hire additional staff to meet the increased demand, appears to have been Noble's deliberate policy of keeping customers and suppliers happy. By paying all his bills on time, Noble was able to strike good bargains with suppliers and to pass savings on to the customer in the form of highly competitive prices which other traders could not meet. In addition, Noble and his staff did their best to meet their customers' needs individually, even if it meant working extra hours and incurring some additional expense.

By the mid-1990s Dave Noble (Windsurfing) had become a formidable operator in the marketplace, with a dominant share of the market in the East Midlands and a loyal and extensive customer base. As the firm continued to prosper, Noble eventually decided to sell his business to the staff and to go into semi-retirement. He has, however, maintained an interest in the leisure industry, importing snowboards which he sells to the trade via mail order.

Case study questions

- 1 What characteristics have Threlfall and Noble in common which might help to explain their success as entrepreneurs?
- 2 Can you identify any changes in the external environment of either of the businesses in the case study which proved beneficial to their development?

**web
link**

You can find information on this and other companies at www.hoovers.com

Review and discussion questions

- 1 Numerically, the sole proprietorship is the most popular form of business organisation throughout Europe. How would you account for this?
- 2 To what extent is corporate status an asset to a business organisation? Does it have any disadvantages?
- 3 Examine the implications of 'privatising' a public sector business organisation.
- 4 Discuss how the legal status of a business affects its objectives, its methods of finance and its stakeholders.
- 5 How would you explain the rise in the popularity of franchising in recent years?

Assignments

- 1 You have recently been made redundant and decide to set up your own small business, possibly with a friend. Assuming that you have £25 000 to invest in your new venture, draft a business plan which is to be presented to your bank manager in the hope of gaining financial support. Your plan should include a clear rationale for the legal form you wish your business to take, your chosen product(s) or service(s), evidence of market research, an indication of anticipated competition and supporting financial information.
- 2 You work in a local authority business advice centre. One of your clients wishes to start a business in some aspect of catering. Advise your client on the advantages and disadvantages of the various legal forms the proposed enterprise could take.

Notes and references

- 1 Liability may be extended where a company continues trading after insolvency.
- 2 It is also possible to have unlimited companies.
- 3 Under regulations issued in 1992 it is possible to have single member private companies with limited liability status, but these are the exception rather than the general rule.
- 4 A similar growth occurred in the number of 'community businesses' in Scotland during this period. Though not strictly 'co-operatives', they are also part of the so-called third sector of business.

Further reading

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Worthington, I., Britton, C. and Rees, A., *Economics for Business: Blending Theory and Practice*, 2nd Edition, Financial Times/Prentice Hall, 2005.

web link

Web links and further questions are available on the website at:
www.pearsoned.co.uk/worthington



9

Size structure of firms

Chris Britton

Businesses range in size from the single proprietor at one extreme to the large multinational at the other which employs thousands of people over several countries. The structure of these businesses will be very different and the problems they face will vary as a result of the differences in size. The size structure of business will depend on many factors which range from choice (the sole proprietor may choose to remain small) to external factors which are beyond the control of the firm.

Learning outcomes

Having read this chapter you should be able to:

- outline the size structure of UK industry
- provide reasons for why organisations grow in size
- demonstrate the way in which organisations grow and the methods of finance
- explain the limitations to growth
- survey the level of merger activity in the United Kingdom and the European Union
- demonstrate the role and importance of the small-firm sector
- discuss the idea of networking between firms

Key terms

Capital market
Concentration
Conglomerate merger
Debentures
Diseconomies of scale
Diversification
Dividends
Enterprise
Equity
Establishment

External growth
Flexible firm
Gearing
Horizontal merger
Industrial concentration
Internal growth
Joint venture
Merger
Money market
Multinational corporation

Networking
Profit
Small firm
Stock Exchange
Subcontracting
Takeover
Vertical integration
Virtual organisation

Introduction



There has been an increase in the level of industrial concentration in the United Kingdom over the last one hundred years. In 1909 the largest hundred companies produced 16 per cent of manufacturing output; by 1990 this had risen to around 30 per cent. Such an increase in the size of business organisations gives rise to worries about the concentration of power in the hands of a few producers and abuses of this power. If the companies are multinationals, they may be beyond the control even of national governments. More recently the trend towards greater concentration has been reversed, and there seems to be a movement towards employment in smaller units. This chapter will look at the size structure of British industry and the reasons for such a structure, with some international comparisons. It will consider the role of small and large firms in the economy. It will also examine the reasons for growth, the ways in which organisations grow, the financing of growth and the limits to growth. It will also consider the relatively more recent trend towards co-operation in production, rather than competition, through activities like joint ventures and networking.

The size structure of UK industry



When looking at the size of firms it is important to define the terms used in official data. The firm, or '**enterprise**', is the organisation as a whole, and it might be comprised of several units or '**establishments**'. Small firms like the corner shop will mostly be enterprises with only one establishment. Large firms like Sainsbury's will have many establishments as they have branches in most towns.

There are many different ways to measure the size of firms. Common measures used are turnover, the value of output, the capital employed or the level of employment. Such measurement is beset by problems, not least the difficulty of defining the small firm, as will be seen later in this chapter. The three measures mentioned above might give conflicting pictures, as an industry which is becoming increasingly mechanised will probably have rising levels of average capital employed and output but falling average levels of employment. Table 9.1 shows the 'top ten' companies in the United Kingdom using two of these measures and it illustrates the point that different measures of the size of a firm will give different rankings.

Some of these names will be familiar to the reader while others are less so. Compass Group plc, for example, is a food service organisation which provides catering and support services to its clients.

The most common measure of size used is the level of employment. Table 9.2 shows the size structure of units in all industries by the number of employees in the United Kingdom in 2003. The table shows that smaller firms predominate in terms of numbers, with 98.5 per cent of firms employing fewer than 100 employees. In terms of employment, however, these firms account for only 34.2 per cent of the total level of employment in manufacturing. At the other end of the scale establishments with over 500 employees account for only 0.4 per cent of the total

number but 53.8 per cent of total employment. The pattern of size structure varies across industries and over time. In the last 20 years there seems to have been an increase in the importance of small firms and a decline in the importance of large firms in their contribution to employment. In 1980 establishments with fewer than 200 employees accounted for 31.9 per cent of total employment and establishments with more than 500 employees accounted for 49.8 per cent. The comparable figures from Table 9.2 are 39.3 per cent and 53.8 per cent. Even the short period of time from 1991 to 2000 saw a shift in the importance of small firms. There was an increase of 188 968 in the number of units employing fewer than 20 people, while there was a decrease of 13 332 in the number of units employing more than 20 employees. A similar pattern emerges with employment, with an increase in employment of 313 800 in the smaller units and a decrease in employment of 882 800 in the larger units.

Many of the large companies listed in Table 9.1 operate in more than one country and are therefore multinationals. **Multinational corporations** strictly defined are enterprises operating in a number of countries and having production or service facilities outside the country of their origin.¹ Multinationals pose particular problems for governments and economies because of their size. They are considered later in this chapter and in Chapter 14.

Table 9.1

The ten largest companies in the UK, 2004

<i>Ranking by turnover</i>	<i>Ranking by employment</i>
1 Vodafone Group plc	1 Compass Group plc
2 Tesco plc	2 Unilever plc
3 Aviva plc	3 Tesco plc
4 Unilever plc	4 HSBC Holdings plc
5 Glaxosmithkline plc	5 Royal Mail Holdings plc
6 Tesco Stores Ltd	6 Royal Mail Group plc
7 BT group plc	7 Anglo American plc
8 British Telecommunications plc	8 Tesco Stores Ltd
9 Centrica plc	9 J Sainsbury plc
10 CGU International Insurance plc	10 Safeway Stores Ltd

Source: Key British Enterprises, 2005

Table 9.2

Size structure of UK industry by employment, 2003

<i>Employment size group</i>	<i>Number of units</i>	<i>% of total</i>	<i>Employment (000s)</i>	<i>% of total</i>
1–9	1 018 120	83.0	3 828	15.4
10–19	112 780	9.2	1 575	6.4
20–49	59 015	4.8	1 822	7.4
50–99	17 740	1.5	1 241	5.0
100–199	9 155	0.8	1 274	5.1
200–499	5 625	0.5	1 731	7.0
500 and over	4 485	0.4	13 300	53.8

Source: Adapted from Table 1, [www.sbs.gov.uk/content/analytical/statistics/UK Industry Summary'1A1](http://www.sbs.gov.uk/content/analytical/statistics/UK%20Industry%20Summary%201A1)

Organisational growth



The reasons for organisational growth

Firms grow in size for many reasons; growth could be an explicit objective of management or could be necessary for the successful operation of the firm:

- Growth could be a managerial objective if it brings benefits to management such as greater security and higher remuneration.
- It could be that the market in which the business operates is expanding and growth is necessary to maintain market share. This is especially the case as markets become more international.
- Growth enables the organisation to reap the benefits of economies of scale (see Chapter 13).
- Growth enables firms to diversify into other markets, which means that risk can be spread further.
- Industries which are capital intensive will of necessity be comprised of large firms.
- In the area of product development it is possible that the necessary research and development could only be carried out by large companies.
- Growth could be pursued as a defensive strategy, as a reaction to the activities of competitors.

Table 9.3 provides an illustration of how the stated objectives of EU firms for engaging in merger activity can change over time and gives some indication of the reasons for growth. Much of this shift can be explained by changing market conditions which have resulted from the creation of the Single European Market in 1992. The relaxation of trade restrictions in the run-up to 1992 encouraged much greater competition, and hence expansion and strengthening of market position have assumed much greater importance since 1985, together accounting for nearly 75 per cent of mergers. It was expected that the increased competition would force companies to concentrate more upon their core activities and as a result diversification as a motive for merger fell from 17.6 per cent in 1985 to 2.1 per cent of cases in 1992.

Table 9.3 Main motives for mergers in Europe, 1985–1992

Motive	% of times mentioned			
	1985–86	1989–90	1990–91	1991–92
Expansion	17.1	26.9	27.7	32.4
Diversification	17.6	3.0	2.8	2.1
Strengthening market position	10.6	45.3	48.2	44.4
Rationalisation and synergies	46.5	17.7	13.3	16.2
Research and development	2.4	0.6	0	0
Other	5.9	6.4	8.0	5.0

Source: *European Economy*, no. 57, 1994. Reproduced by permission of the Office for Official Publications of the European Communities

In industrial economics firm size is seen as a function of growth. It is suggested that although there is no limit on the size of a firm there are limits on the rate of expansion. Growth rates are seen to depend on different things by different theorists, including the availability of finance, the level of consumer demand and the limitations of management. These theories, however, are primarily concerned with large firms and their development. Small firms are seen as potentially large firms that failed to grow for some reason or other. One interesting theory of growth is the stages model, where the firm is seen as passing through various stages in its development from small sole proprietor/partnership through the decision to expand into a large organisation. This again is a 'grow or fail' theory which does not apply well to industries which are dominated by successful small firms, as will be seen later in the chapter.

mini case Mergers in commercial radio

The year 2005 saw the merger between the two biggest commercial radio groups in the UK – GWR and Capital – to form GCap Media plc. This merger is a good example of the motives for merging and the benefits that can accrue from merger.

Commercial radio is distinguished from public service broadcasting (which is financed through the government) by the fact that it derives most of its revenue from advertising. The share of display advertising in the UK going to radio grew from 5.5 per cent in 1999 to 6.8 per cent in 2003². It is possible to target audiences much more precisely using the radio since the socio-demographic characteristics of listeners is well known and constant. Table 9.4 shows the market leaders in the UK together with their percentage shares of listening hours and advertising revenue in 2003. As can be seen, the merger took place between the two market leaders as measured in both ways.

Table 9.4 Commercial radio groups in the UK, 2003

	% share of listening hours	% share of advertising revenue
GWR Group plc	20.9	20
Capital Radio Group plc	15.1	20
EMAP plc	13.8	9
Chrysalis plc	11.6	10
Scottish Radio Holdings plc	8.3	9
Others	30.3	32

Source: Keynote report, *Commercial Radio*, 2003

A number of changes have occurred in the radio market which have provided the motivation for structural change. The Communications Act 2003 liberalised the restrictions on mergers in the communications sector and made changes in the way that licences are granted. The advent of digital technology has opened new doors with respect to both listening and advertising.

The GWR Group had a presence at both the national level (Classic FM, Core and Planet X) and at the local level with 32 local stations. Capital Radio Group was a local radio provider. A high number of radio stations will bring high economies of scale – post

merger, GCap Media have control of 57 radio stations out of a total of 242 in the UK. This places them in a perfect position to take advantage of the opportunities offered by digital technology. GCap Media emphasises the development of a relationship with listeners through diversification into other areas like concerts and local merchandising.

The Office of Fair Trading considered the proposed merger but decided that it would not be referred for investigation. It ruled that, although the merger would give the new company a 40 per cent share in advertising revenue, this was not a good measure of the degree of competition in the market since there are alternatives to radio advertising and that the radio stations owned by the two companies largely covered different parts of the country.

**web
link**

See www.gcapmedia.com, where a rationale for the merger is provided. See also www.rajar.co.uk for research into the radio market in the UK and www.crca.co.uk which is the main trade body for commercial radio in the UK.

Methods of growth



Firms grow in size internally as part of normal business operation or externally through takeover and merger.

Internal growth

Growth is a natural process for many firms that start small, capture a segment of the market and then continue to expand either by producing more of the same goods or by extending their product lines. The advantage of **internal growth** over external growth is that the company grows within the existing structure of management; there are none of the problems of bringing together two different management systems. There might also be economies of scale from building a bigger plant that might not be available when companies merge and plant size does not change. Set against these, internal growth has certain disadvantages and this is why most of the growth in the size of organisations has occurred through external growth.

External growth

Growth by acquisition is called **external growth** and occurs through **takeover** or **merger**. A merger is the voluntary coming together of two companies with the agreement of the management of both companies, the result of which is the creation of a new legal identity. A takeover is where one company makes an offer to the shareholders of another. If the management of the threatened company resist it is called a hostile takeover, but if the price offered to shareholders is high enough they will accept. Takeover bids can be and have been successfully fought off by the management of the second firm. A holding company is a new company that is

formed to acquire assets in other companies. The acquired companies retain their independent identities but are directed by the holding company.

External growth can be seen to have a number of advantages:

- 1 It is fast, so that productive capacity can be increased very quickly.
- 2 The acquiring firm has access to an established management team and system.
- 3 If the shares of the acquiring company have sufficiently high values relative to the acquired firm, there might be no need for additional cash to be raised.
- 4 The purchase of existing assets could be cheaper than building new productive capacity.

But set against these is the fact that the process might not be an easy one; it is a difficult job to merge two companies smoothly and successfully and there are likely to be many teething problems. Research by Coopers & Lybrand (now PriceWaterhouse Coopers) found that top executives regarded half of the takeovers in which they had been involved as failures. The main reasons for failure were lack of planning and managerial problems.

Although the definitions of merger and takeover are clear enough, it is often difficult to tell them apart in practice and they are usually put together in official publications under the heading of acquisitions. In order to understand fully the motivation for mergers and takeovers it is important to recognise that there are different types of mergers.

Horizontal mergers

A **horizontal merger** is where a combination between firms at the same stage in a production process takes place; for example, between two car manufacturers or between two brewers. The vast majority of mergers that take place are of this type and many of our largest companies have been formed through horizontal merger. Examples include mergers between banks and building societies. The motives for this type of merger are:

- *To benefit from economies of scale.* Horizontal mergers allow the merged firms a greater level of specialisation and the benefits of other economies of scale (see Chapter 13).
- *Greater market share.* When firms come together there will be a reduction in competition in the market and the resulting firm will have a much larger share of the market.
- *Rationalisation of output.* If the level of demand for a good is shrinking, merger between the producers could be necessary in order to rationalise output.
- *Reaction to competitors.* In markets where mergers are taking place, companies may feel that they have to do the same in order to maintain their market position.

Vertical mergers

A vertical merger involves firms at different stages of the same production process. It is vertical since it runs along the production process from extraction of raw materials to distribution. An example would be a merger between a car manufacturer and a metal-pressing company. **Vertical integration** can take place 'backwards'

towards the beginning of the production process or 'forwards' towards the end of it and it can occur for several reasons:

- 1 In the case of backwards integration, to control the supplies of raw materials with respect to their quantity and quality. This brings greater security to the acquiring firm.
- 2 To restrict supplies of the raw materials to competitors.
- 3 In the case of forwards integration, to control the quality of the outlets for the finished product. Manufacturers finance the majority of advertising and they might well feel that a forwards merger would enable them to ensure that the good was being sold in the most appropriate setting.
- 4 In both cases, economies of scale are possible if different parts of the production process are brought together.
- 5 Again, vertical mergers can be carried out as a reaction to the activities of competitors.

Conglomerate mergers

These mergers are neither vertical nor horizontal but involve a merger between firms involved in producing different goods. An example would be the failed merger proposal between Kingfisher (general retailing) and Asda (grocery retailing) in 1999. The main motivation for this type of merger is diversification. It reduces the risk involved in producing for only one market and allows the firm to spread risk further. It can also provide the firm with another option if the original market declines in size.

As far as the economy is concerned, the main gains of mergers are in increased efficiency resulting from economies of scale and also the increased scope for research and development. A common view is that merger and takeover activity serves the purpose of rationalising business. The weak businesses go and the strong survive. Even when a takeover is carried out for the purpose of asset stripping this will be the case.

Growth by merger and takeover

Growth through merger and takeover first appeared in the USA over a hundred years ago and merger activity tends to come in waves (see the discussion later in this chapter). Five periods of heightened merger activity have been identified in the USA:

- The period 1880 to 1905 – this coincided with the proliferation of the joint stock company and the international establishment of stock exchanges. This period was characterised by mergers of a horizontal nature.
- The 1920s – at this time the mergers were largely vertical in nature, as manufacturers took control of both suppliers and distributors.
- The 1960s – mergers in this period were mainly about diversification and the establishment of conglomerates.
- The post-1980 period – this wave of activity took place in a period of recession and was largely about cost-cutting and rationalisation.
- The late 1990s – as companies in mature industries attempted to become global operators. The pace of this surge of activity slowed for a period after September 11th 2001, but by 2004 the boom in activity had restarted.

The first two periods of heightened merger activity in the USA had little effect in Europe; however, there were waves of activity in Europe which coincided with the last two. The first wave of merger activity in Europe came in the 1960s after obstacles to trade were removed by the establishment of the EEC in 1957. The second wave of mergers came in the 1980s in the run-up to the establishment of the Single European Market in 1992. As yet there is little evidence of an increase in merger activity as a result of EMU in Europe.

The most recent surge of activity in the USA did not reach the EU until 2005 – the value of mergers and acquisitions in Europe in the first quarter of 2005 was three times higher than the same period in 2004 and there are several pending large deals. The motivation for this activity seems to be the synergies achieved through mergers with similar companies – it seems that national companies are trying to become European companies.

Finance for growth



Internal sources

As part of its operation the firm will generate income in the form of **profit**. Part of this profit will be distributed in the form of **dividends** to shareholders, the rest can be used for reinvestment and to finance growth. Although this is seen as a relatively easy and cheap source of finance, it does carry an opportunity cost and therefore should be judged on its rate of return like any other source of finance. Table 9.5 shows that internal funds were the largest single source of finance for industry in 1990, 1994 and 1997. It also shows that the totals available and the pattern of sources vary a great deal from year to year. (This data is no longer compiled by the Office for National Statistics.)

Table 9.5 Sources of funds for industry, 1990, 1994 and 1997 (£million)

Source	1990	1994	1997
Internal funds	33 838	61 406	56 363
Banks and other short-term borrowing	19 911	–4 841	6 630
Loans and mortgages	9 120	4 557	4 384
Ordinary shares	1 880	8 495	19 616
Debentures and preference shares	6 367	1 008	10 640
Other capital issues	7 485	5 067	10 526
Other overseas investment	11 233	–1 400	25 938
Other	1 444	3 766	953
Total	91 278	78 056	135 050

Source: *Financial Statistics*, January 1993, 1996 and 1999. Crown copyright 1999. Reproduced by permission of the Controller of HMSO and of the Office for National Statistics, UK

External sources

As the size and availability of retained earnings will be limited, most firms will also have to seek other sources of finance for expansion. There are many external

sources of finance and a typical firm's capital structure will comprise a combination of these. The sources are as follows.

Banks

Banks provide short- and medium-term finance to companies in the form of loans or overdrafts. The relative cost of these depends upon how the firm wishes to use the funds. Loans carry a lower rate of interest but the interest is paid on the whole amount, while the interest on overdrafts is only paid on the amount drawn. British banks have been criticised by many for failing to provide longer-term finance for business, as banks do in other countries.

Capital market

The **capital market** is the place where stocks and shares are traded and is therefore a key provider of long-term finance to firms. The main institution in the capital market is the **Stock Exchange**. The capital market is made up of two parts: the primary part which involves the buying and selling of new stocks and shares; and the secondary part which involves the buying and selling of existing stocks and shares. It is therefore the primary part of the market that is the source of finance for firms. The secondary part of the market is, however, also important in this process as individuals and organisations are more likely to buy stocks and shares with the knowledge that there is a ready market on which they can be traded at a later date.

The main institutions that buy stocks and shares are the insurance companies, pension funds, investment trusts, unit trusts and other large financial institutions such as building societies.

A new issue of shares takes place when an existing company needs extra finance or when a company becomes a public limited company.

Types of stocks and shares

- 1 *Preference shares.* These are shares in a company which carry a fixed dividend. Holders have preference over other shareholders in the payment of dividends and on the liquidation of the firm. Preference shares usually carry no voting rights, and so holders have little influence over how the company is run.
- 2 *Ordinary shares.* Ordinary shares are called the '**equity**' of the company. They do not usually carry a fixed dividend; the company declares a dividend, depending upon its performance in that year. This means that in good years ordinary shareholders could receive high dividends, while in bad years possibly none at all. Ordinary shares are therefore more risky than preference shares, and in recognition of this they usually carry voting rights, so that holders can exercise some influence over how the company is run.
- 3 *Debentures.* **Debentures** or loan stock are bonds which are given in exchange for a loan to the company. The company agrees to repay the borrowed amount at some date in the future and to make annual payments of interest in the meantime. Interest on debentures is paid before payment of any dividends and the interest is allowable against tax. A debenture holder is a creditor of the company, a shareholder is an owner of the company.

New issue of shares

A company will go to an issuing house or merchant bank which will advise it on the type and number of shares to issue, the price at which they should be offered and other matters. They will often carry out the issue of shares on behalf of the firm. A new issue of shares is not a big source of finance for growth as it is fairly expensive; retained earnings are more convenient and cheaper. Also the amount of information that is required from companies which issue shares to the general public can act as a disincentive.

It is worth noting that in the UK the Stock Market essentially comprises three main elements: the main market, the Alternative Investment Market (AIM) and off-exchange share matching and trading facility (OFEX). The main market deals in the shares of the large and well-established companies. The Alternative Investment Market provides an opportunity for growing smaller companies to raise capital and have their shares traded in a market without the considerable expense of a full market listing. OFEX tends to be used by companies seeking relatively small amounts of capital, mainly from private investors, and has to be seen as a stepping stone to a listing on a more senior market (e.g. the Official List, AIM, NASDAQ).

Money market

The **money markets** provide short-term finance for companies, often for as brief a period as overnight.

Government and other institutions

The government is a source of finance for firms. Through its regional policy it gives tax allowances, loans, grants and training allowances to firms in certain parts of the country (see Chapter 11). It has many schemes for helping business, particularly small businesses. This will be covered more fully later in this chapter.

Other sources

Other sources include trade credit and hire purchase (i.e. receiving assets now and paying later). This is only a small source of finance for companies. As Table 9.5 shows, industry draws a fairly high proportion of its funding from overseas. This includes finance from many different sources, including individuals, governments, financial institutions overseas and companies.

Firms will typically go for a mixture of different types of finance. The exact combination will depend upon many factors, including their relative costs, their availability and the desired capital structure of the firm. A firm's desired capital structure will largely depend upon the type of market in which it operates. The different types of finance are classified under the two headings of debt and equity. Debt refers to all types of capital on which payments have to be made each year regardless of how the firm has performed; this would include loans and preference shares. Equity refers to ordinary shares where the payment of a dividend depends upon the performance of the firm. As a source of finance, debt is generally cheaper but it is also more risky since in bad years the firm will have to meet the interest payments. The ratio of debt to equity is called the **gearing** of the company. Debt is

not well suited to firms in industries where profits fluctuate and such firms will have lower gearing than those in more stable markets.

Limits to growth

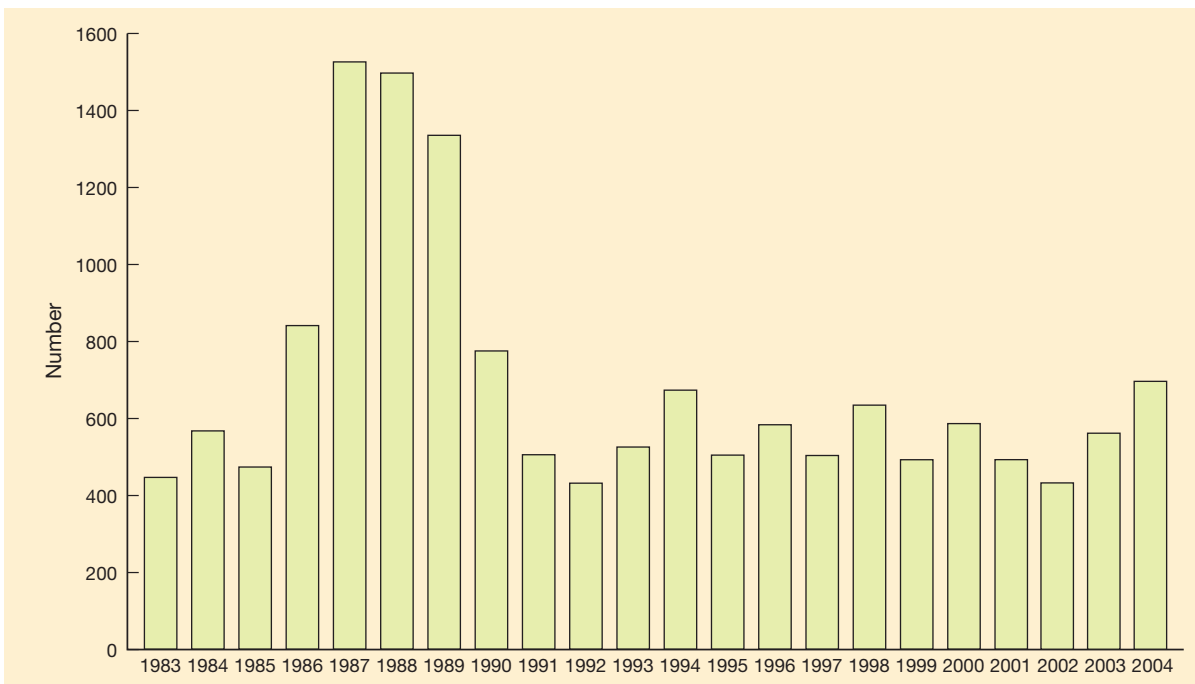
Several factors tend to act as a limit to organisational growth:

- To finance growth, excessive borrowing might have taken place and the firm may have trouble meeting debt repayments; therefore there is increased risk of bankruptcy.
- A serious constraint to growth might be the abilities of management. As organisations grow in size they may experience **diseconomies of scale**, which are mainly to do with managerial problems, like communication and control.
- If the size of the market for the product is stagnant or declining it may be both unnecessary and impossible for the firm to grow.
- Government policies, too, can have an important impact on growth. Every government has policies on competition which seek to limit anti-competitive practices and which normally regulate merger activity (see Chapter 15).

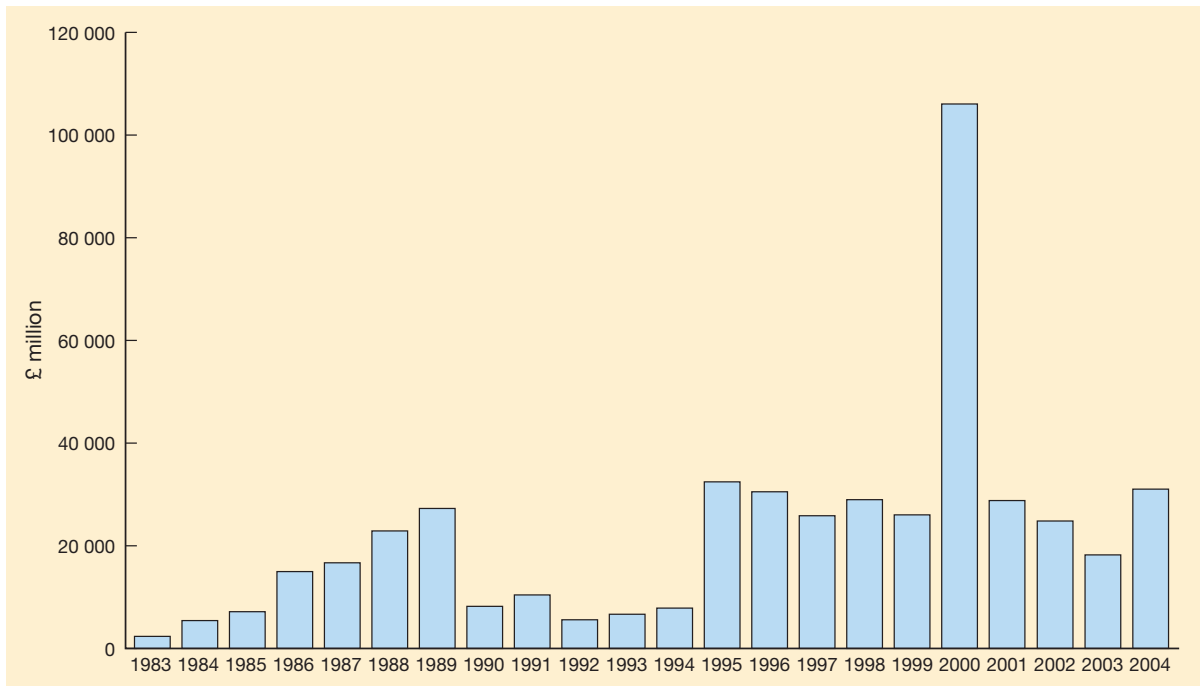
Merger activity in the United Kingdom

There are two common ways of measuring the level of merger activity – by the number of transactions or by the total value of the transactions. Figure 9.1 shows

Figure 9.1 UK merger activity by number, 1983–2004



Source: Adapted from www.statistics.gov.uk/StatBase/TSDdownloads2.asp

Figure 9.2 UK merger activity by value, 1983–2004

Source: Adapted from www.statistics.gov.uk/StatBase/TSDdownloads2.asp

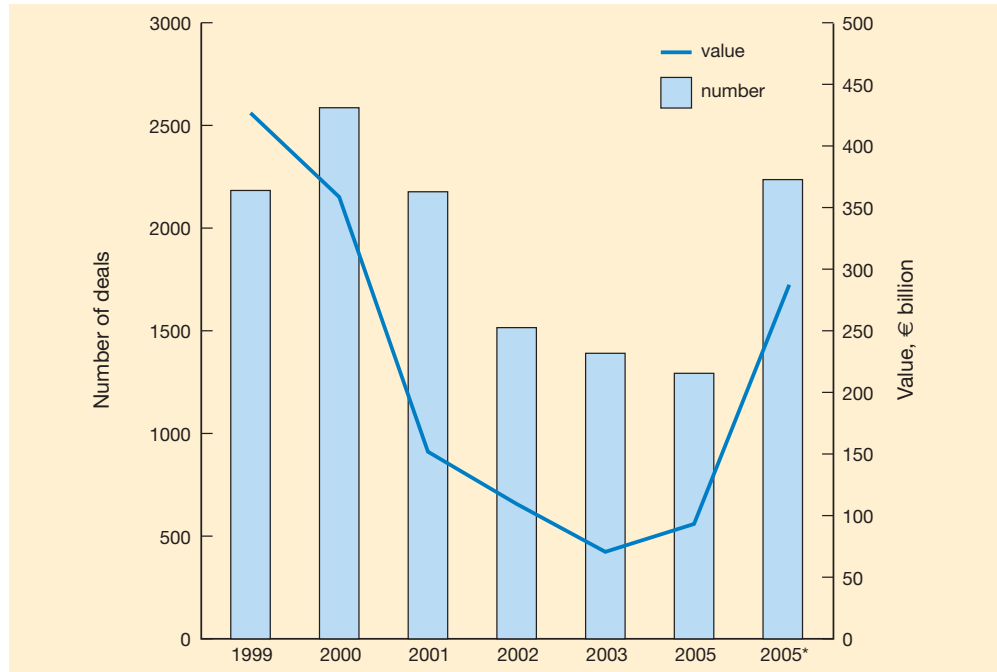
the level of merger activity in the UK according to the number of companies acquired in the UK by UK companies. It can be seen that there was a sharp rise in merger activity in the mid-1980s and a downturn in 1989. The cyclical pattern continues into the 1990s but the amplitude is reduced. This cyclical pattern is repeated in other countries and in the EU as a whole (see Figure 9.3) and it implies that the level of mergers is in some way related to the state of the economy. The rise in the mid-1980s was due partly to an improvement in the state of the economy and partly to the liberalisation of the financial markets, which made finance for takeover bids more freely available. The fall in 1989 was due partly to the recession and partly to the problems that some companies subsequently experienced by overstretching themselves in the mid-1980s. The subsequent rise in the level of merger activity was due to the restructuring which took place in many diverse industries in the 1990s like the financial services sector and the public utilities.³

Figure 9.2 shows the level of merger activity in the UK according to the value of the transactions, and the same cyclical path can be discerned although the peaks and troughs do not exactly coincide with the number of transactions. The use of the value of the transactions as a measure of merger activity is problematic in that it will be distorted by any very high-value deals that take place, as in 1995–7 and 2000 when the number of transactions fell but their value rose.

Merger activity in Europe

Figure 9.3 shows the number and value of cross-border mergers and acquisitions in the EU between 1999 and 2005. As in the UK, there was a fall in activity by both measures after 2001 but a sharp rise in the first half of 2005.

Figure 9.3 Cross-border mergers and acquisitions in the EU, 1999–2005, by value and by number



Note: *Figures for the first half of 2005.

Source: Eurostat, 2005 © European Communities, 1995–2005

The total value of cross-border mergers and acquisitions in the EU in the first half of 2005 was €286.6 billion. The most important acquirer was France (21 per cent of total) followed by the USA (19 per cent), Italy (10 per cent) and the UK (9 per cent).

Global merger activity

Table 9.6 shows the value of outflows from and inflows to OECD countries for merger and acquisitions between 1999 and 2005. The pattern is the same as for the UK and the EU – flows fell after 2001 and increased sharply at the beginning of 2005. It is predicted that in 2006 the number of global cross-border mergers and acquisitions will be in excess of 700 and their total value in excess of \$720 billion.

It can be seen that the same pattern presents itself for the UK on its own, the EU and the world as a whole – a decline in merger and acquisition activity followed by a surge in activity in 2005. During the 1990s the boom in merger and acquisition activity was dominated by the telecommunications sector. In 2004/5 recovery activ-

Table 9.6 Cross-border mergers and acquisitions to and from OECD countries, 1999–2005 (\$billion)

Year	Outwards	Inwards
1999	138	151
2000	1161	1134
2001	606	589
2002	378	409
2003	310	328
2004	413	453
2005*	520	532

Note: *Estimated value.

Source: Adapted from Table 1.2, *International Investment Perspectives*, OECD, 2005

ity was taking place mainly in the financial services sector – the two largest deals were the takeover of Abbey National Bank (UK) by Banco Santander Central Hispano (Spain) and the takeover of John Hancock Financial Services (USA) by Manulife Financial Corporation (Canada).

Small firms



There are serious problems in the analysis of the small-firm sector, including the lack of data over a long period of time and the problem of defining exactly what is a **small firm**. The Bolton Report,⁴ published in 1971, was the report of a committee set up to look into the role of small firms in the UK economy. It used various definitions for statistical purposes, depending upon the industry being considered, on the grounds that what is small in one industry might be large in another. Table 9.7 shows the size distribution of firms based on their turnover for a selection of industries for 2004.

Table 9.7 Size of companies by turnover across different industries, 2004 (%)

Industry	Turnover size (£'000)		
	up to £250	£250–£500	over £500
Agriculture, forestry and fishing	87	8	5
Mining and quarrying and public utilities	40	10	50
Manufacturing	54	14	32
Construction	71	12	17
Wholesaling	48	14	38
Retailing	65	19	16
Financial services	51	11	38
Business services	77	10	13

Source: Adapted from Table B5.1, PA1003, 2004, Office for National Statistics

It is clear from Table 9.7 that the definition of 'big' will vary with the industry. In the Bolton Report the definition used for small firms in manufacturing was 'less than 200 employees', while in construction it was 'less than 25 employees'. In some industries turnover limits were chosen while in others a mixture of employ-

ment and turnover was used. Although this is confusing and makes comparison between industries and countries difficult, it was accepted that there could not be a single definition which would apply to all sectors. The EU in 1994 recommended to its members that they use ‘less than 250 employees’ as the definition of a small to medium-sized enterprise (SME), in order to facilitate the easy comparison of data across member states. A further refinement of the definition used by Eurostat based on numbers employed is shown in Table 9.8.

Table 9.8 Classification of firms by employment size

<i>Number of employees</i>	<i>Type of firm</i>
0–9	micro businesses
10–99	small enterprises
100–499	medium-sized enterprises
500+	large enterprises

Applying this definition to Table 9.2, it can be seen that 83 per cent of manufacturing firms in the UK are micro businesses, 15.5 per cent are small, 1.3 per cent are medium sized and 0.4 per cent are large. Although there are some national differences (the southern-most countries have relatively more micro businesses than the northern countries) the pattern of size structure is similar in the EU as a whole – 92 per cent of all enterprises are micro businesses, 7.4 per cent are small, 0.5 per cent are medium sized and 0.1 per cent are large.⁵

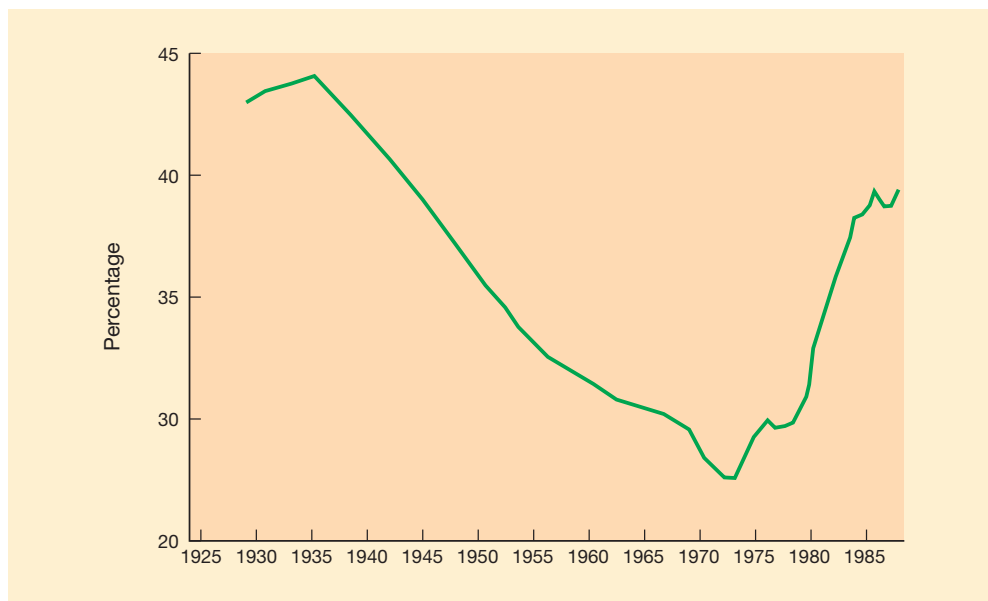
It is important to note that the definition of SME used within the EU changed in 2005. For grant-aid purposes an SME must have no more than 25 per cent of its capital owned by a larger enterprise and must meet specific criteria with regard to numbers of employees, turnover or balance sheet totals. A ‘micro firm’ is one with 0–9 employees, a maximum annual turnover of 2 million euros or a maximum balance sheet total also of 2 million euros. The equivalent figures for a ‘small firm’ are 10–49 employees, 10 million euros turnover or 10 million euros balance sheet total; for a ‘medium-sized firm’ 50–249 employees, 50 million euros turnover or 43 million euros balance sheet total. Using these definitions it is estimated that 99 per cent of all enterprises in the EU (prior to enlargement) were SMEs and that they provided around 65 million jobs.

No matter how small firms are defined, they will suffer from similar problems, which are very different from those faced by larger companies.

Trends in the small-firm sector

Figure 9.4 shows how the share of small establishments in total manufacturing employment changed between 1930 and 1990. The definition used here is fewer than 200 employees. The establishment is the reporting unit. It can be seen that the small-firm sector was in decline up to the late 1960s and early 1970s, since when its importance has increased.

Table 9.2 showed that for manufacturing industries small firms are very important in terms of the numbers of companies, accounting for 99 per cent of total firms according to the Bolton Report definition. Even though they were less important in terms of

Figure 9.4 Share of small establishments in total manufacturing employment, 1930–1990

Source: Stanworth, J. and Gray, C. (eds), *Bolton 20 Years On: The Small Firm in the 1990s*, Chapman, 1991, Table 1.1

employment they still accounted for 47 per cent of total employment. This tends to understate their importance because it does not include the service sector, many parts of which are heavily dominated by small firms due to the nature of the production process. Although there is a great deal of information available from official sources on the manufacturing sector, the same depth of information is not available for the service sector, so accurate information is difficult to obtain.

Reasons for the growth in the small-firm sector

There has clearly been a resurgence in the importance of the small-firm sector which appears to have been more pronounced in the United Kingdom than in other countries. Why? Some causal factors are as follows:

- 1 *The changing pattern of industry.* In Chapter 10 it is shown that there has been a change in the industrial structure of the United Kingdom away from manufacturing and towards services. Since many services are dominated by small firms, there will be a corresponding change in average firm size. However, this does not provide the full explanation as there has been a growth in the share of small firms even in the manufacturing sector. And it does not explain the international differences since there have been similar changes in industrial structure in other countries too.
- 2 *Changes in consumer spending habits.* A move from mass-produced goods to more specialised products puts small firms at an advantage as they can react more quickly to changes in demand and shorter product life cycles.
- 3 *Flexible specialisation and the growth of subcontracting.* A debate which started in the late 1980s centres round the idea of the '**flexible firm**'.⁶ As a result of the

recession of the early 1980s there was a drive by firms to reduce their costs in order to remain competitive. One way of reducing overhead costs was to move to a flexible firm structure whereby the firm's activities are divided into core and peripheral activities. The core activities, which are central to the activities of the firm, would be kept 'in-house' and carried out by full-time permanent workers. The peripheral activities would be carried out by temporary workers or would be subcontracted. The firm has then reduced its overheads and can react to peaks in demand by increasing the amount of temporary labour it uses or increasing the amount of **subcontracting**. This might also have had the effect of increasing the relative importance of the small-firm sector.

- 4 *Reorganisation and job reduction.* There has been an increase in the phenomenon of downsizing by organisations in an attempt to reduce costs. Ninety per cent of large companies have reorganised and cut jobs since 1985.
- 5 *Government policy.* After the Bolton Report there was a much greater interest in the role of the small firm in the regeneration of the economy and in the provision of jobs. But most of the initiatives designed to help the small firm came after the start of the resurgence of the small-firm sector in the early 1970s.
- 6 *The growth in self-employment.* A part of the growth in the small-firm sector has been due to the growth in the number of self-employed. The self-employed accounted for 9.8 per cent of the workforce in 1984 and 11.7 per cent in 2004 (see Table 9.9). This represents a 19 per cent increase in the number of those self-employed over this period.

The level of self-employment is likely to be related to the level of unemployment, so that as unemployment rose during the 1970s and 1980s there was an increase in the level of self-employment. This goes a long way to explaining the

Table 9.9 Percentage of workforce self-employed, 1984–2004 (UK)

<i>Year</i>	<i>% self-employed</i>
1984	9.8
1985	10.0
1986	10.0
1987	10.9
1988	11.3
1989	12.1
1990	12.3
1991	11.9
1992	11.3
1993	11.2
1994	11.7
1995	11.6
1996	11.6
1997	11.5
1998	10.9
1999	10.8
2000	10.6
2001	11.3
2002	11.2
2003	11.6
2004	11.7

Source: Adapted from *Annual Abstract of Statistics* (various), ONS, UK

international differences as the growth in self-employment in the United Kingdom has far outstripped that in other countries. Again, however, it does not provide the full explanation as business births were growing in the late 1960s when unemployment was falling.

- 7 *Technological change.* Changes in technology, particularly information technology and the miniaturisation of components, has made it possible for small firms to benefit to a similar extent to large firms. This has had the effect of reducing the importance of economies of scale and enabling small firms to compete more effectively with large ones.
- 8 *Competitive forces.* As far as the international differences are concerned, the Bolton Report found that industry in the United Kingdom was biased towards large size in comparison with other countries. So what may have happened as a result of competitive forces is that the balance of industry in the United Kingdom has moved towards the norm of other countries.

The role of the small-firm sector

The growing importance of the small-firm sector implies that small firms do have a valuable role in the economy apart from being a mere provider of employment. The areas in which the small firm has advantages over large firms are those where there are:

- 1 *Clearly defined small markets.* It is not worthwhile for large firms to enter such markets since there are no economies of scale and no scope for mass production.
- 2 *Specialist, quality, non-standardised products.* Again it would not be worth a large firm entering such a market as the benefits of large-scale production cannot be reaped.
- 3 *Geographically localised markets.* For example, the small corner shop.
- 4 *Development of new ideas.* It is often argued that the small firm is the 'seedbed' of ideas and that, because of greater motivation and commitment on the part of the owner of the small firm, it is very conducive to invention and innovation.

Aid to the small-firm sector

The thinking on small firms has changed over time. Initially they were viewed favourably, but after the Second World War the dominant thinking was that large-scale production could take advantage of large economies of scale and that costs would be lower and production more efficient. It was not until more recently that the interest in the small-firm sector has increased again. The main reasons for the renewed interest are seen in the results of empirical studies which have shown that the role of the small firm is greater than previously thought in areas such as innovation, the balance of payments and employment.

The main argument for giving support to the small-firm sector is that it has a valuable role to play in the economy. In the 1980s and 1990s, for example, small firms were seen as a mechanism for reducing the very high levels of unemployment. Between 1983 and 1993 the small-firm sector created 2.5 million jobs. The basic

premise for support is that small firms are at a disadvantage with respect to large businesses in areas such as raising capital, research and development and risk bearing. Two particular problems faced by small firms were highlighted in 1996: cash flow problems which stem from the late or non-payment of bills; and dealing with government red tape. These problems have been addressed by a number of recent developments. All public limited companies are now required by law to state in their annual reports the average length of time it takes them to pay their bills. The Federation of Small Businesses published a 'name and shame' list for the first time in April 1999 which is expected to apply peer pressure and thereby encourage firms to pay bills on time. It also provides information to help small firms decide who to trade with. The Federation of Small Businesses has estimated that 44 per cent of bills are paid more than 15 days after the normal 30-day credit period. The comparable figure is 35 per cent in the EU. It is also estimated that about £20 million is tied up in late payment, with a half of this owed by large firms to small firms. The government also publishes 'league tables' of government departments which are slow in paying their bills, with the pledge that this will be improved. To reduce the amount of red tape faced by firms, the government has, over the years, relaxed many of the rules and regulations involved in running a business. For example, from 1996 there has only been a single form for registration for income tax, national insurance and VAT, from April 1999 small employers have been able to move from monthly to quarterly payment of PAYE and National Insurance contributions.

Government policy

Within the UK national policy for small firms has increasingly become a vital component of governmental attempts to create a competitive economy capable of achieving sustainable economic growth. To this end policy initiatives in recent years have become more focused and have tended to adopt a multi-agency approach, aimed at improving the environment in which small businesses emerge and grow, and at fostering enterprise and innovation. Key developments over the last decade or so have included:

- *Business Link* – a national network of 'one-stop shops' to provide information and support to small firms.
- *Direct Access Government* – a 'one-stop shop' on the Internet that provides businesses with access to regulatory guidance and forms.
- *The Enterprise Zone* – another Internet-based initiative to help firms with finding information on issues such as finance, exporting, technology, innovation and management.
- *The Teaching Company Scheme (TCS)* – the government's premier technology transfer mechanisms for linking UK higher education establishments and businesses.
- *The SMART Awards* – designed to promote technological development and innovation.

There have also been a number of legislative and fiscal changes aimed at reducing the burdens on small businesses (e.g. levels of corporation tax). Some of the most recent developments have included the launch of the University for Industry (Ufi),

the Enterprise Fund, the University Challenge Fund, the Small Business Service (SBS) and the EU SME Initiative. The latter – introduced in December 1997 – was designed to assist SMEs in rural areas or areas of industrial decline to become more competitive in overseas markets. There have also been attempts to reduce the flow and improve the quality of regulation affecting smaller businesses and an action plan to make the UK the number one location for starting and growing a business. This plan is available via the Small Business Service website (www.sbs.gov.uk).

mini case The small-firm sector

In December 2002 the UK government published a document entitled *Small Business and Government – The Way Forward*, which set out an action plan designed to help the small firm sector. It has seven themes:

- building an enterprise culture – to provide everyone with the understanding of enterprise which will enable them to make an informed choice between employment and enterprise;
- encouraging a more dynamic start-up culture – to strengthen business support networks and create an environment which encourages enterprise;
- encouraging more enterprise in under-represented and disadvantaged groups – to increase the business start-up rate in both groups;
- improving the experience of small firms of government services – to improve the coherence, accessibility and quality of government services to small firms;
- developing better regulation and policy – to reduce unnecessary regulatory burdens on small firms;
- improving access to finance – to reduce the number of small businesses finding access to finance as a barrier to growth;
- building the capability for growth – to improve growth potential through raising performance in key areas such as management skills and the adoption of good practice.

Under each of these themes the document identifies policies and initiatives designed to address these objectives. The Confederation of British Industry (CBI) carried out an assessment of progress towards these objectives by 2005 in a report entitled *The Small Business Service Five Years On*. It found that the government had made significant progress towards three of these objectives – improving access to finance, improving the experience of government services and increasing the number of business start-ups. It found that for the other four objectives there is still much work to be done before the stated aim of the SBS – to make the UK the best place to start and grow a business – is achieved (see: www.sbs.gov.uk and www.cbi.org.uk).

Networking between firms

A more recent trend in industry which is well documented is towards co-operation rather than competition.⁷ This co-operation can take many forms: for example, subcontracting, networking (both formal and informal) and joint ventures. Such co-operation can be (and is) used by large as well as small and medium-sized enter-

prises. For large companies it is a way to grow and diversify without risk. For smaller firms it allows them to stay small but at the same time to benefit from some of the advantages of large-scale production like specialisation.

Subcontracting

There has been an increase in the amount of subcontracting, where firms do not carry out the whole of the production process themselves but subcontract some of their activities to other firms. This represents a rejection of vertical integration and it is related to the notion of the flexible firm mentioned earlier. Subcontracting goes some way to explaining the phenomenal growth rate in 'business services' that occurred in the 1980s. It is increasingly common for businesses to subcontract specialist work in areas such as human resource management to outside consultancies. 'Partnering' between companies and consultancies is becoming more common where the consultancy is retained on a semi-permanent basis to give advice on a whole range of human resource matters from recruitment to planning for succession. This will obviously boost the small-firm sector. There has also been an increase in 'partnership sourcing' as large firms are developing long-term relationships between themselves and their suppliers. This phenomenon brings benefits to the large firms in the form of reducing stock levels and associated costs and facilitating just-in-time production methods. It also brings benefits to small firms, many of which are the suppliers, in the form of greater security.

Networking

Networking refers to the relationships that exist between organisations and the people within those organisations. These relationships can be of different types, both formal and informal, and there is increasing recognition of the importance of these relationships, especially to small firms (e.g. they may be based on the exchange of goods and services, like the relationship between a firm and its supplier or client). Subcontracting is an example of this kind of network but there are other links not based on exchange, like the relationship between a firm and the bank manager or other advisers. There are also informal links between the entrepreneur and family and friends, and between entrepreneurs in different organisations. There might also be co-operative links between firms. This can be seen in the market for executive recruitment where there has been a growth in the links between consultancies, particularly for international work. The creation of the Single European Market and the increased internationalisation of business left the smaller consultancies in a weak position relative to the large international recruitment firms like Korn Ferry International, which have branches in most European countries. The smaller consultancies have reacted by forming networks. There are basically two types of network:

- 1 Where firms are members of a network but where the network has a different name from the individual firms and the firms operate under their own name (i.e. the network has an identity of its own). The members are independent firms that co-operate in carrying out their business. There are 16 such groups in Europe including EMA Partners International and AMROP Heuer Group.

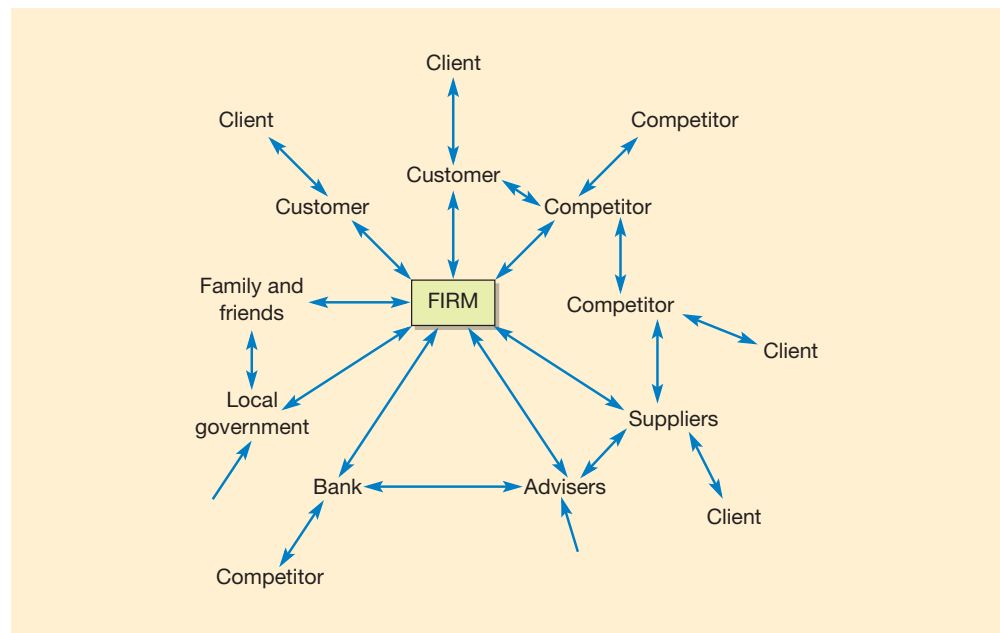
- 2 Where firms are part of a network of independent firms but where the network does not have a separate identity and the firms operate under their own names. There are ten such groups in Europe.

**web
link**

For information on companies mentioned see www.kornferry.com, www.ema-partners.com and www.amrop.com

The firm is seen as existing within a spider's web of relationships, as Figure 9.5 shows. It is possible for two firms to be linked in a variety of ways; in one market they may be competitors, in the next co-operators, customers in another and suppliers in another.

Figure 9.5 A typical network



Networking has taken on greater significance because of changes that are taking place in the economy, which include the reversal of the trend towards higher industrial concentration, the adoption of Japanese methods of production, the decline of 'mass markets' and technological change that requires greater specialisation than previously. All of these changes favour the formation of networks.

The role of strategic alliances between firms has been recognised, especially in the small-firm sector where expansion through other means is often impossible and in the process of internationalisation.⁸

The virtual organisation

The **virtual organisation** is a network-based structure built on partnerships where a small core operating company outsources most of its processes. It is a network of small companies which specialise in various aspects of production. The organisa-

tion can be very big in trading terms but very small in the numbers of permanent staff. The process is typically mediated by information technology.

The main benefit of the virtual structure is that it helps organisations to deal with uncertainty. When virtual organisations are managed properly they can simultaneously increase efficiency, flexibility and responsiveness to changes in market conditions. The organisation is reaping the benefits of specialisation without having to develop those specialisms itself. Therefore overhead costs are minimised, as too are training costs and support costs. Information technology assumes many of the co-ordinating and managing roles that managers and committees carry out in large organisations. Information technology enables communication and the sharing of information across geographical boundaries. It is often the case, however, that the creation of a virtual organisation is driven solely by cost considerations rather than strategic considerations, in which case the benefits might not be realised. There will be a loss of control over outsourced activities and it may actually cost more to manage such activities. The organisation can become locked into contracts and specific relationships so that flexibility is reduced. There may be a lack of commitment of key resources (i.e. contractors) to the company and the loss of a contractor will be very serious.

There is some evidence that the incidence of virtual organisations is on the increase, facilitated by developments in information technology. It is a matter of 'wait and see' if this will become the dominant organisational structure in the future.

Joint ventures

As indicated earlier in this chapter, **joint ventures** are a good way for firms to diversify and enter other countries' markets. Joint ventures benefit both parties as each can diversify with the benefit of the experience of the other, and the level of risk is minimised. Again, there are examples in the area of executive recruitment. The International Search Group, for instance, was set up as a joint venture between five companies in France, the UK, Austria, Germany and Italy in order to offer a European service to its customers.

Consortia

In some industries co-operative behaviour has come about for particular reasons. In process plant contracting, for example, the projects are often too large for single firms and so they form consortia in order to bid for the contract. The consortium will include contractors, suppliers and bankers who together will have the expertise and the resources to carry out the project.

Multinationals



At the opposite end of the scale from the very small business are companies which have the capability to produce goods or services in more than one country but where control usually resides in a central location. **Multinationals** are often well-known household names, as the examples below illustrate:

- UK multinationals – BP, Glaxosmithkline.
- European multinationals – Nestlé, Volkswagen.
- USA multinationals – General Motors, IBM.

These multinationals are huge organisations and their market values often exceed the GNP of many of the countries in which they operate. They are estimated to account for a quarter of the world's output.

The growth in the multinationals is due to relaxation of exchange controls making it easier to move money between countries, and the improvements in communication which make it possible to run a worldwide business from one country. See Chapter 14 for a full discussion of the operation of multinational enterprises.

web
link

For information on the companies mentioned on this page see: www.bp.com, www.gsk.com, www.nestle.com, www.vw.com, www.gm.com and www.ibm.com

Synopsis

This chapter has looked at the size structure of industry in the United Kingdom and Europe as a whole. It examined the motives for and the methods of growth, as well as the sources of finance for such growth. The role of the small firm was considered, as too was the role of the multinational. Although many industries are dominated by huge companies, the trend seems to be moving away from growth towards a process of disintegration for a variety of reasons. As a result of this trend there has been an upsurge in the small-firm sector, and an increase in the level of co-operative behaviour between firms.

Summary of key points

- The size structure of firms varies greatly within industries, within a country and between countries.
- Firms can grow internally through organic growth or externally through merger and takeover.
- There are many motivations for growth, including increased market share, the reaping of economies of scale, the diversification of risk.
- Growth can be financed internally through reinvested profits or externally through banks, the capital market and the money market.
- There are limits to organisational growth, such as diseconomies of scale.
- The level of merger activity in the UK and in Europe follows a cyclical pattern and is related to economic conditions.

- The small-firm sector is an important source of output and employment, and this importance has increased over time.
- Many factors have influenced the growth of the small-firm sector, including the changing pattern of industries, changes in demand, technological change, the trend towards increased subcontracting and government policy.
- At the other end of the size spectrum, multinational corporations have a massive impact on world output and employment through their activities.

CASE STUDY

Executive search

As this chapter shows, the size of firms within an industry depends upon many factors. The nature of the product and the production process are important in explaining why many service industries are dominated by small firms. Services have the following characteristics which differentiate them from goods and these characteristics have implications for the structure of the industry concerned:

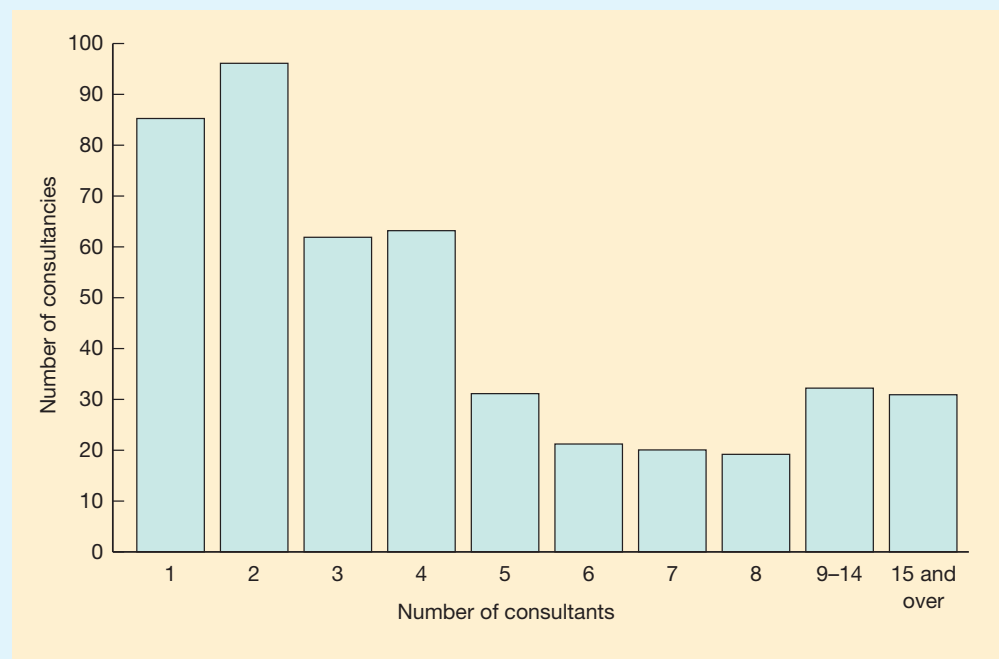
- *Intangibility.* Services are intangible while goods are tangible. This means that it is impossible to sample a service before it is purchased.
- *Inseparability.* There is often no separation between consumption and production of services. Goods are produced, sold and then consumed. Services are sold, then production and consumption begin simultaneously.
- *Heterogeneity.* Given the nature of services, they are difficult to standardise; often each unit of a service sold is different. This stems from the central role that the buyer plays in service production.
- *Perishability.* Services are perishable, they are destroyed in the process of consumption and cannot be stored.
- *Irreversibility.* Many services are irreversible in that, once consumed, they cannot be returned and nor can faults be rectified.

These characteristics have an important impact upon the shape of the industry and the firms that constitute the industry. This case study looks at one such service industry, executive search.

Executive search (or headhunting) is one part of the executive recruitment market. It refers to the recruitment of candidates through direct and personal contact by a specialist recruitment consultancy acting as an intermediary between employer and potential candidate(s). Although there are some large international consultancies, such as Korn Ferry and Egon Zehnder, the industry is one which is dominated by small firms (see Figure 9.6). Even the large international consultancies are small compared with firms in other industries. In 2000 the average number of consultants per firm was 5.4 and the most common firm size was 2 consultants. There are many reasons for this and some of these reasons apply equally to other services and are related to the services characteristics above. Some, however are specific to executive search and selection:

- There is a large personal element in the service provided which means that the production process will be labour intensive. The only scope for technological change is through the computerisation of records and processes. This is likely to be true for many services and means that there is no scope for mass production and the typical firm size will remain small. The average number of assignments per consultant in 2000 was eight.
- The perishable nature of services means that stocks cannot be kept, and given that the demand for services will fluctuate, firms with large numbers of consultants will have to bear the cost of excess capacity when demand is low. There is therefore a tendency towards small size.

Figure 9.6 Size distribution of search consultancies, 2000



- The higher the number of consultants the greater the possibility of one or more leaving and starting a new consultancy in competition with the original, and taking their contacts with them. This is a fairly common method of entry for new firms in this industry. For this reason consultancies rarely have more than 14 consultants.
- Executive search is unique in that the greater the number of client companies, the smaller the pool of candidates. Most search firms offer an 'off-limits' guarantee – they will not approach someone they have placed for at least two years. Therefore the more people they place, the more restricted will be the pool of candidates.
- It could be that there is little scope for economies of scale – there are many firms with only one consultant surviving and performing well. Although the size of the firms in the industry is small, greater specialisation in the task can take place

than in a personnel department. Many consultancies specialise by function or by industry, which may lead to reduced search times due to the consultants' easier access to candidates and data banks and better understanding of the industry. There is also the effect of repetition on the skills of the producer.

- Despite the fact that there may well be some scope for economies of scale in the industry, it is clear from the numbers of assignments involved that the minimum efficient scale of production is small. Firms can enter the industry and carry out a relatively small number of assignments and survive.
- Low barriers to entry and exit make the industry easy to enter and to leave. Because of the characteristics of services it is difficult for the quality of the service being provided to be ascertained. To overcome this lack of information, many service industries (accounting and law for example) have strong regulatory bodies which can enforce certain behaviour patterns upon the firms in the industry. This, however, is not the case for executive search. There is no regulatory body, there are no pre-entry educational requirements and there are no legal limitations to entry, apart from the acquisition of a licence which can be obtained fairly easily for a small sum. Once a firm has entered there is little formal control over its operating methods; so legal barriers to entry are not high in executive search. The capital required to set up in business is small, since all that is required is a licence, a telephone, stationery, secretarial support and an office. The method of payment for assignments – which usually involves a part payment at the beginning of the assignment – reduces the 'break-in' period as loans can be quickly paid off. Consultancies become profitable after only a few assignments.
- The service characteristic of inseparability of production and consumption often places a geographical limit on markets that can be served, and this will impact upon firm size. Many services involve 'direct sales' with no intermediaries, and so firms are likely to locate near to the demand for their services or near to where the decision is taken to use that service. Executive search is seen as an extension of the management division of labour since it is the externalisation of previous internal personnel functions. Hence, if the location of search consultancies is close to its demand, and the decision to use recruitment consultancies is taken in head offices, then the location of these head offices plays an important part in the location of consultancies. In Britain this partly explains the geographical concentration of search consultancies (77.5 per cent of consultancies) in London and the south east.
- The inseparability of production and consumption in services means that the concept of vertical integration loses meaning when applied to services. Most services involve direct production, so the whole production process takes place when the service is performed. The existence of many business and other services represents a process of disintegration, as firms are increasingly shedding their peripheral functions and buying in these functions from external sources. Executive search is a good example of this process as recruitment and other personnel functions are increasingly being contracted out. Indeed there is further disintegration in the industry, as researchers are setting up their own firms and consultants are buying in their services. There is no obvious reason why horizontal mergers should not take place in service industries. The motivation for and incidence of horizontal mergers will vary between the very different services

which exist. As far as services with large personal inputs are concerned, there will be limited scope for economies of scale, and so this reason for mergers is removed. Similarly services which are geographically localised are less likely to be horizontally integrated.

- The particular nature of service production makes diversification into other areas more difficult than in other types of production. The obvious directions for diversification are into products either produced with common technology or through the development of existing technology, and into products that can be marketed through similar channels. Executive search consultancies diversify by offering other services to management, such as salary surveys or succession planning. The development of executive search itself has partly been through a process of diversification as large accountancy firms have moved into the area of management consultancy, including recruitment.

Conclusion

Executive search (like many other services) is characterised by small firm size. For such industries, the traditional theories on the growth of firms, which see development as a 'grow or fail' process are not very helpful. They are clearly not true when small firms not only survive but are successful. A more fruitful approach is to look at the constraints which might prevent the growth of the firm. In executive search, the internal constraints include the personal nature of the production process which means that consultants can only handle a small number of assignments per year. There is some evidence that an increase in support staff does increase the output of consultants but not by a significant amount – the range remains narrow. Another internal constraint might be a lack of individuals with the right skills. The skills required in a consultant are good interpersonal and communication skills, possibly some experience of recruitment work and, more importantly, contacts. An external constraint is that the service can be carried out by clients, which might well limit the extent of the market. Also, unique to executive search, is that consultants will not normally approach an individual they have placed for at least two years. Therefore as the number of consultants rise in a firm the possible pool of candidates shrinks. The bigger the consultancy, the higher is the probability that one or more of the consultants would leave to set up in competition against the original consultancy, taking all of their contacts with them. There have been examples of consultants doing this but taking with them researchers as well, leaving the original consultancy in a very weak position.

Case study questions

- 1 Why do you think that international expansion typically takes place through the formation of alliances in the executive search industry?
- 2 How might economic recession affect this industry?



For information on executive search see www.rec.uk.com (Recruitment and Employment Confederation) and www.executive-grapevine.co.uk

Review and discussion questions

- 1 Why is restructuring taking place in the airline industry?
- 2 Can you see any dangers in the creation of super utilities (large, diversified organisations which supply a range of utilities – gas, electricity and water)?
- 3 What advantages does networking bring to small firms and the economy as a whole?
- 4 How has the balance between large and small firms in manufacturing changed in the last ten years? Do you expect these trends to continue?

Assignments

- 1 You are an information officer at your local business advice centre and you have been given the job of designing and writing a leaflet aimed at the proprietors of small firms, outlining the government aid that is available to small businesses. Your brief is to keep the leaflet short and readable but with maximum information. (Information on government aid will be available at your local library or business advice centre.)
- 2 As part of 'Business Week' you have been asked to give a short talk to local sixth-formers doing Business Studies A-level on the size structure of UK industry. Prepare your talk by choosing two industries, describing and giving reasons for the typical size structure of the firms in those industries.

Notes and references

- 1 *Penguin Dictionary of Economics*.
- 2 See Keynote report, *Commercial Radio*, May 2004.
- 3 See case study in Chapter 8 of the 2nd edition of this book.
- 4 *The Bolton Committee Report*, HMSO, 1971.
- 5 *Panorama of EU Industry*, 1994, European Commission.
- 6 Atkinson, J., 'Flexibility, uncertainty and manpower management', Report no. 89, Institute of Manpower Studies, 1984.
- 7 Pyke, F., 'Co-operative practices among small and medium-sized establishments', *Work, Employment and Society*, 2 (3), September 1988.
- 8 See case study at the end of Chapter 13 of the 2nd edition of this book.

Further reading

Griffiths, A. and Wall, S., *Applied Economics*, 10th edition, Financial Times/Prentice Hall, 2004.
 Stanworth, J. and Gray, C., *Bolton 20 Years On: The Small Firm in the 1990s*, Chapman, 1991.